

DB HiTek

ESG REPORT

2024-2025 DB HiTek ESG Sustainability Report



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DB HiTek, World Leader in Specialty Foundry

Company Profile

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DB HiTek Co., Ltd
Representative Director & CEO

Ki Seog Cho

CEO's Greeting

Greetings from our CEO

To our respected customers, shareholders, partner companies, and employees:

Over the past few years, the semiconductor industry has faced numerous difficulties due to the global economic downturn and the intensification of local conflicts, leading to intensified competition between countries in the industry.

Along with the rapidly changing economic situation, there have additionally been many changes in the field of corporate sustainability management. Thanks to environmental regulations such as the EU Carbon Border Control System (CBAM) and EU battery regulations, industrial regulations continue to be strengthened across the board. The German Supply Chain Act ("Act on Corporate Due Diligence Obligations in Supply Chains"), which mandates the management of human rights and working environments in the supply chain, came into effect in 2023, and the EU's Corporate Sustainability Due Diligence Directive ("CSDDD") was finalized in May 2024. This proves that interest in the field of human rights continues to grow.

To better position ourselves in the industry, DB HiTek has worked hard to open doors for the future. In particular, we've been recognized for our achievements in ESG, such as obtaining a Silver rating in the RBA Audit, which assesses the sustainability of manufacturing companies, for 2024.

As a prominent member of the semiconductor industry, DB HiTek firmly believes that companies should take responsibility for sustainability management and aims to meet the expectations of stakeholders across all ESG areas (environment, society, and governance).

First, in order to minimize waste and boost the recycling rate, we raised the company recycling rate to 99%. Efforts are also being made to recycle used wafers, which showcases our awareness of the environmental impact throughout the entire process of product development, production, and disposal. We are constantly working to minimize impact. We are also working to achieve RE100 by 2030 by purchasing plasma scrubbers and participating in DR projects to reduce greenhouse gases and carbon, which are the main causes of global warming.

Second, we are working to solve various problems facing society through close-knit, mutually beneficial activities with the local community. We are strengthening investment in local talent and working to coexist with the region where our business is located. We are also working to improve the working environment for employees of our partner companies.

Third, in order to improve the governance structure and strengthen the independence of the Board of Directors, we are making an effort to further strengthen the governance structure by separating the Chairman of the Board of Directors and appointing the Chairman from external directors.

DB HiTek will continue to support and faithfully comply with the UN Sustainable Development Goals (SDGs) and actively communicate with stakeholders. I ask for your generous support and interest in DB HiTek as we continue to achieve shared growth with society as a responsible member of the corporate world.

Company Overview

Company Name	DB HiTek Co., Ltd.	Representative Director	Ki Seog Cho
Business Area	Semiconductor consignment manufacturing (8 inch, 90nm - 0.35um, 154,000 wafers/month)		
Address	- Fab 1 : 90, Sudo-ro, Bucheon-si, Gyeonggi-do, Republic of Korea - Fab 2 : 474-1, Sangu-ri, Gangok-myeon, Eumseong-gun, Chungcheongbuk-do, Republic of Korea		

History



1997's
Company established

- Development and mass production of the first 0.18um BCD process in the market
- Expansion into fabless business (DDI)



2014's
Profit turnaround

- Recruitment of human resource and accumulation of technical expertise
- Strengthening of business structure
 - Development of new, high-value processes and products, Capa Up, customer expansion, cost reduction



2022's
Highest sales and operating profits in history operating profit

- Entry into stable growth trajectory
- Preparation for "jump-up" growth
- Divided specialization into "foundry" and "fabless"(2023)

Vision Diagram

Vision

Great People Technology

Vision Statement

We will become the best,
building the world's best company in the
specialized system semiconductor field
through innovative technology

Core Value

Priority on
Customer Value

Endless Pursuit

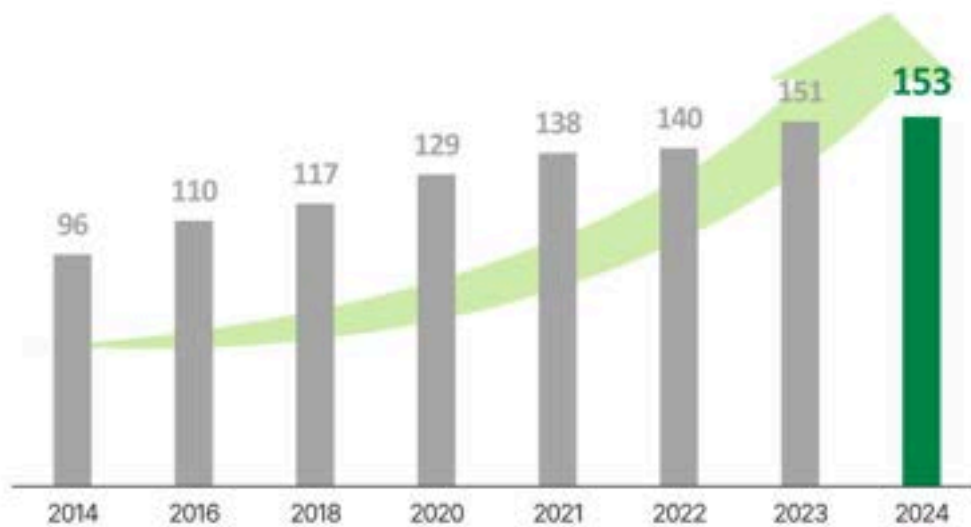
Lead by Example
Self-Management

Introduction to Business Locations

DB HiTek produces cutting-edge system semiconductors in Bucheon, Gyeonggi-do (Fab 1) and Eumseong, Chungcheongbuk-do (Fab 2) based on 90 nanometers to 0.35-micron process technology. We have secured a monthly production capacity of 153,000 wafers through steady production. We plan to continue expanding our production capacity through innovative activities and equipment investments. We have also established sales technology networks in Silicon Valley (US), Taipei (Taiwan), Tokyo (Japan), Shanghai, and Shenzhen (China), and are developing semiconductor companies and global business at home and abroad.

Wafer Production Capacity

(Unit: 1000 pcs/month)



ESG performance

ESG DATA

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Business Performance

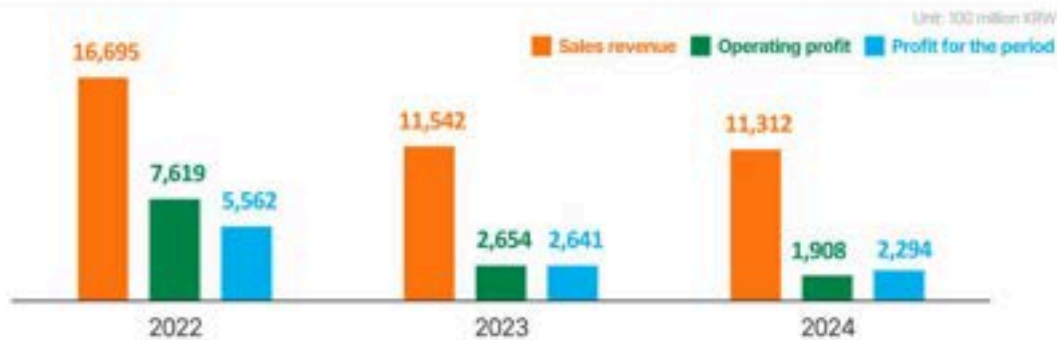
In 2024, the semiconductor market slumped amid a global economic downturn, and the entire industry faced numerous challenges. In addition, competition between companies and countries surrounding the semiconductor industry has intensified, and geopolitical risks, such as the deepening US-China conflict, the ongoing Russo-Ukrainian war, and the emergence of the Israeli-Palestinian conflict, as well as high price and high interest rate markets, have further increased uncertainty.

DB HiTek felt the impact of the slumping market environment, and sales and operating profit declined over the previous year. However, we were able to minimize the decline in performance with an operating margin of 17% through efforts such as strengthening foundry expertise, securing new trading lines and products, and reducing company-wide costs.

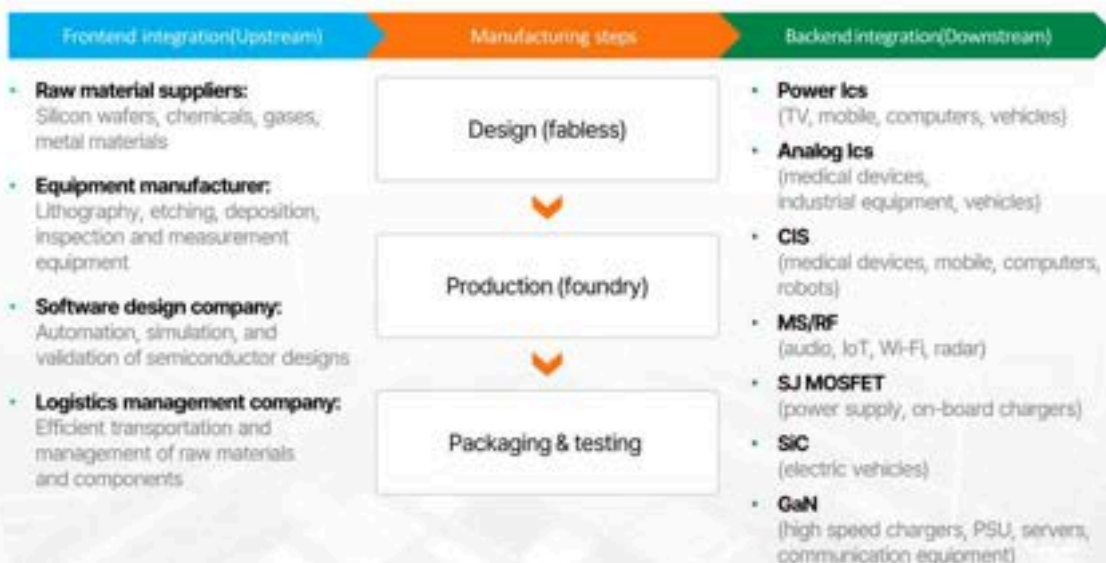
We also continued efforts for sustainable management. We have Environmental Performance Label (Low-Carbon Product) Certification for our Analog & Power Foundry Wafer, continue to carry out mutually beneficial activities with the local community such as rice donation drives, and are making efforts in various areas of the environment, society, and governance structure by implementing value disclosure and introducing shareholder-friendly policies to improve the governance structure and protect shareholders' rights and interests.

In 2025, DB HiTek will do our best to continue creating a sustainable and prosperous environment and society.

Key Financial Performance



Status of the Value Chain



Stakeholder Engagement

In order for DB HiTek to fulfill our role and responsibilities as a global corporate enterprise, our main activities are carried out with various stakeholders and transparently communicated throughout the entire process.

Through various internal and external channels, DB HiTek strives for mutually beneficial development by forming joint consensus on sustainable management issues and building cooperative relationships not only with employees, but also with customers, shareholders, investors, partner companies, governments, organizations, local communities, and media.



Stakeholder	Key Concerns	Communication Channels	Key Activities
Customer	Customer-centered product development Continuous quality control Provision of accurate product information	Quality Management System YourFab / RBA / SAQ SR / Website	Strengthening of quality and safety management systems Listening to and resolving customer VOCs Continued provision of information
Employee	Fair performance evaluation Work-life balance Self-development support	Management briefing / Labor Council In-house bulletin board / messages from management / suggestions and advice management Worker Assistance Program	Group bargaining activities, customized training for career planning cycles Explanation of management status, workplace work environment management Operation of a health promotion program
Shareholders & Investors	Stable dividends Establishment of a sound corporate governance structure Business diversification and future prospects	Disclosure of earnings / IR General shareholders' meeting Website / Shareholder inquiries	Presentation of management results and forecasts, establishment of shareholder return policies Disclosure of governance information Communication with shareholders and investors
Media	Major business forecasts and performance forecasts Future growth strategies such as new businesses Positions on key issues	Press release In-depth article Media coverage support	Interviews Project promotion Press conferences / Media Day
Government/ Agencies/ Local Community	Local recruitment Revitalization of the local economy Social contribution activities	Meeting with government, organization, and public institutions Community councils, meetings Regional volunteer center	Support for local higher education institutions, expansion of local recruitment Expansion of community contribution activities Direct business area support, indirect investment
Partner Company	Fair trade / Mutually beneficial cooperation Corruption prevention	Cyber Auditor's Office Purchase management system Meetings	Technical Assistance Grievance handling systems and solutions Workforce development support

Status of Association Membership

Association Name	Key Employee Activities
The Korea Chamber of Commerce and Industry (KCCI)	-
Korean International Trade Association (KITA)	-
Korea Listed Companies Association	-
Korea Semiconductor Industry Association (KISA)	Vice Chairman (CEO Ki Seog Cho)
Korea Semiconductor Research Association (KISA Subsidiary)	-
The Institute of Electronics and Information Engineers	-
Hanyang University ERICA	-

Mid- to Long-term ESG Management Strategy

Establishing an ESG management system
at top-tier industry level by 2030

E

**Advancement of
eco-friendly management
to reduce carbon**

- Strengthening of environmental management policies
- Actively developing carbon reduction activities (Energy ↓, renewable raw materials ↑, greenhouse gas ↓)
- Increased recycling of water and waste
- Strengthening monitoring of hazardous substances
- Expanding green products and investments
- Protecting natural ecosystems and biodiversity

S

**Strengthening of mutually
beneficial management
to create social value**

- Expanding labor and human rights improvement activities
- Strengthening of occupational health and safety management
- Promotion of shared growth through ESG support, etc. for partner companies
- Engagement in community support
- Investment into information protection
- Expanding stakeholder communication
- Strengthening of workplace safety and employee welfare

G

**Strengthening of
governance system
for sustainable growth**

- Expanding role of board of directors relating to ESG
- Improvement to board of directors' independence and transparency
- Strengthening of shareholders' right
- Improvement to governance
- Strengthening of ethical management
- Strengthening of risk management systems

ESG performance

In order for a company to maintain business competitiveness and continue to grow in today's business environment, where internal and external environments are rapidly changing, it must focus not only on the traditional values of economic growth and the pursuit of profits, but also on issues related to public interest, such as **environmental protection, increased transparency for management, ethical management, and social contributions.**

As a global corporate enterprise, DB HiTek aims to fulfill our corporate social responsibilities including **labor, human rights, environment, safety and health, ethics, and supply chain management.** In particular, **we worked with the Responsible Business Alliance (RBA), an ESG global initiative, to establish a "DBH Code of Conduct" in line with the five major fields of labor, health and safety, environment, ethics, and supply chain management, and are actively developing improvement activities in line with the initiative.**

DB HiTek will continue to communicate with various stakeholders and coexisting together to enhance corporate value and competitiveness as we grow.

ESG DATA



Appendix

ESG Management Strategy

ESG management provides direction for the sustainable growth of a company while helping the company and society develop together. DB HiTek understands that **environment, society, and governance structure are very important for the sustainable growth of a company**, and in order to continuously improve in these areas, have established mid- and long-term goals and are working to fulfill them.

DB HiTek shall continue to focus on ESG in the future to minimize management risk and achieve sustainable growth.

ESG Rating Trends by Major Domestic and International Evaluation Agencies



SUSTINVEST

| Evaluating Institution |

Classification	2022	2023	2023	2024	2024
		First half	Second half	First half	Second half
Total Rating	AA	A	AA	AA	A

* Rating (Out of 7): AA, A, BB, B, C, D, E

| Evaluating Institution |

RBA

- 2024 Feb 2 Audit: 181.5
- Silver Certification



| Evaluating Institution |

Classification	2021	2022	2023	2024
Total Rating	A	B	B+	C
Environment	A	B	A	B+
Social	A	B+	A	A
Governance structure	A	B	B	D

* Rating (Out of 7): S, A+, A, B+, B, C, D

Double Materiality Assessment and Key Issues

In order to achieve sustainable growth, strategic management in a variety of fields, including economic, environmental, and social fields, is of the utmost importance. We identify and respond to business-related issues related to sustainable management, and further analyze the following key issues and disclose them in ESG management reports to communicate transparently with stakeholders.

First, an issue pool is formed based on domestic and international media, industry benchmarking, global sustainability management standards and initiatives, and expert opinions. Issues are then prioritized by comprehensively considering the financial impact (Financial Materiality) on our company and our external environmental/social impact (Impact Materiality). The major issues that are derived are actively addressed through annual response plans and mid- to long-term plans, and are being used as major tools for sustainable management growth.

► Matrix Diagram for 30 Key Double

Materiality Assessment Issues

Consideration for our financial impact versus our external environmental/social impact



* ESG standards analysis: See domestic and international ESG evaluation standards, GRI 2021, SASB, KOGS, etc.

* Internal and external stakeholder surveys: Survey of 259 internal and external stakeholders from April 22 (Mon) to April 26 (Fri), 2024.

DB HiTek decided the final 6 important issues of our business activities as follows and adopted them as key issues in our ESG Management Report.

Order	2023 Key Issues	2024 Key Issues	Comparison
1	Enhancing product and service quality	Enhancing product and service quality	Kept
2	Establishing a risk management system	Strengthening of community communication activities	New
3	Managing chemical substances	Waste reduction and emissions management	New
4	Reinforcing workplace safety	Establishing safety and health policies and systems	Kept
5	Strengthening information security	Supplier sustainability management	New
6	Securing excellent personnel	Attracting and retaining talent	Kept

Double Materiality Assessment and Key Issues

Double Materiality Assessment Matrix



Key Issues	Issue Impact	Strategy	Key Activities	Direction	Related GRI
Enhancing product and service quality	Due to the nature of our business, large-scale material and economic damage is expected in the event of a product or service failure or accident, so it is essential to establish a response system and plan for this.	Through a quality control system, we aim to enhance product and service stability and improve quality by managing defect rates, establishing a system for managing service failure situations, and preparing an incident response system.	- Operating a quality control system - Securing product stability and carrying out product quality improvement activities	Reduced defect rate	GRI 416 Customer health and safety
Strengthening communication with the local community	As a member of the local community, we recognize that contributing to its development is a virtuous cycle that will lead to long-term company growth, so quantitative and qualitative investment in the local community is essential.	As a member of the local community where our Bucheon and Sangwoo business sites reside, DB HiTek continues to invest quantitatively and qualitatively through regular communication with residents of the local community.	- Conducting welfare activities for vulnerable people in Gangok-myeon - Support for the Gangok-myeon Village Development Revitalization Fund - Donating scholarships to the Eumseong-gun Scholarship Association - Strengthening job postings in Eumseong-gun - Increased shuttle bus service to strengthen workforce recruitment in Eumseong-gun for production workers	Strengthening community investment and mutually beneficial cooperation activities	GRI 413 Local community
Reducing waste and managing emissions	Due to the nature of the manufacturing industry, a large amount of waste is generated. This not only has a significant impact on environmental pollution, but also affects sustainable production.	We are looking for ways to manage general waste and designated waste separately and recycle them accordingly. We are also working to reduce during the production stage by recycling discarded wafers.	- Properly managing waste through the Albareo System - Establishing a waste recycling process - Recycling waste wafers	Achieving a 100% waste recycling rate	GRI 306 Wastewater and waste
Attracting and retaining talent	"Talent" is the most important key to the sustainable growth of a company. Making it possible to attract excellent personnel and enhance internal member satisfaction is essential for increasing corporate value.	We operate a family-friendly system to prevent career gaps in recruited talent due to childbirth and childcare, etc., and we are working to hire top local talents.	- Family-friendly work system - Recruiting top local talent - Training local talent - Strengthening welfare programs	Decreasing voluntary turnover	GRI 401 Employment
Partners Managing sustainability for partners	The need to manage ESG risks that may occur within the value chain is increasing through proactive supply chain ESG management, and thus, the obligation of supply chain ESG management based on international laws and regulations is expanding.	In order to strengthen ESG-based evaluations during partner selection and product purchasing processes, we conduct thorough partner ESG evaluations. In addition, we manage risks related to conflict minerals/responsible minerals to manage ESG risks within the value chain.	- Assessing partner ESG and performing due diligence at work sites - Establishing a code of conduct for partners - Operating management processes based on response to conflict minerals	Partner ESG risk management Conflict minerals management	GRI 308 Supplier environmental assessment GRI 414 Supplier social impact assessment
Establishing safety and health policies and systems	Establishing a safe work environment helps the company grow sustainably in the mid to long term. Domestic companies are also being asked to improve risk factors based on fulfilling occupational safety and health obligations and building systems.	DB HiTek has established a standardized safety and health system based on ISO45001, and are working to detect risk factors early through regular consultation with workers.	- ISO45001 Certification; establishing safety and health policies - Assessing workplace risks - Operating a workers' safety and health council - Operating regular health and safety councils for partner companies	Decreasing disaster rates	GRI 403 Occupational safety and health

DB HiTek, World Leader in Specialty Foundry

ESG Performance

- Environment
- Social
- Governance

Environmental Safety Management Policy

Environmental Management Policy and Strategy

► ESH Policy

DB HiTek complies with environmental safety and health policies and pursues continuous improvement through periodic reviews in order to provide sustainability management to customers and stakeholders based on our corporate philosophy of a "good company" and the vision of "great people, great technology."

1. Environmental safety and health management

We operate a world-class environmental safety and health management system by complying with international agreements and laws, promoting employee health, preventing environmental pollution, recycling resources, managing risks, and establishing a green supply chain, all to foster an environmental safety and health culture that realizes corporate social responsibility.

2. Risk management

By identifying potential risk factors through environmental safety and health assessments and reflecting them in our business procedures, we can eliminate risk factors that affect our employees and the local community.

3. Employee duties

All employees must comply with environmental safety and health standards, and the company fosters an environmental safety and health culture through regular training and offers an environment for sustainable living.

4. Eco-friendly product manufacturing

We minimize environmental impact through eco-friendly product development and clean production systems, and comply with international agreements on hazardous substances, as well as customer requirements.

5. Operating a green supply chain

In order to achieve our environmental safety and health policy, suppliers and partners must comply with our policy and cooperate in the operation of a green supply chain.

6. Social responsibility

We transparently disclose environmental safety and health management activities and contribute to the development of the local community.

Ki Seog Cho
December, 2022
Ki Seog Cho
President & CEO

► Environmental Management Strategy and Goals

	Internalization and Reinforcement of the Environmental Management System	Reinforcement of Response Capabilities to Safety Environment Risks Reinforcement of Response Capabilities	Reinforcement of Eco-Friendly Activities
Strategy direction	- Improving compliance responsiveness - Efficiently operating the ESH management system	- Raising awareness of safety and environmental risks - Performing safety and environment risk prevention activities	Active response in the field of ESG environment
Goal	ISO14001, ISO45001, and ISO22301 Certifications	- ZERO violation of safety and environmental laws - Boosting firefighting facility monitoring and response - Expanding risk assessments	5% reduction in greenhouse gas average compared to the past 2 years - Over 99% waste recycling rate 8% reduction in the amount of hazardous chemicals used compared to the 2-year average

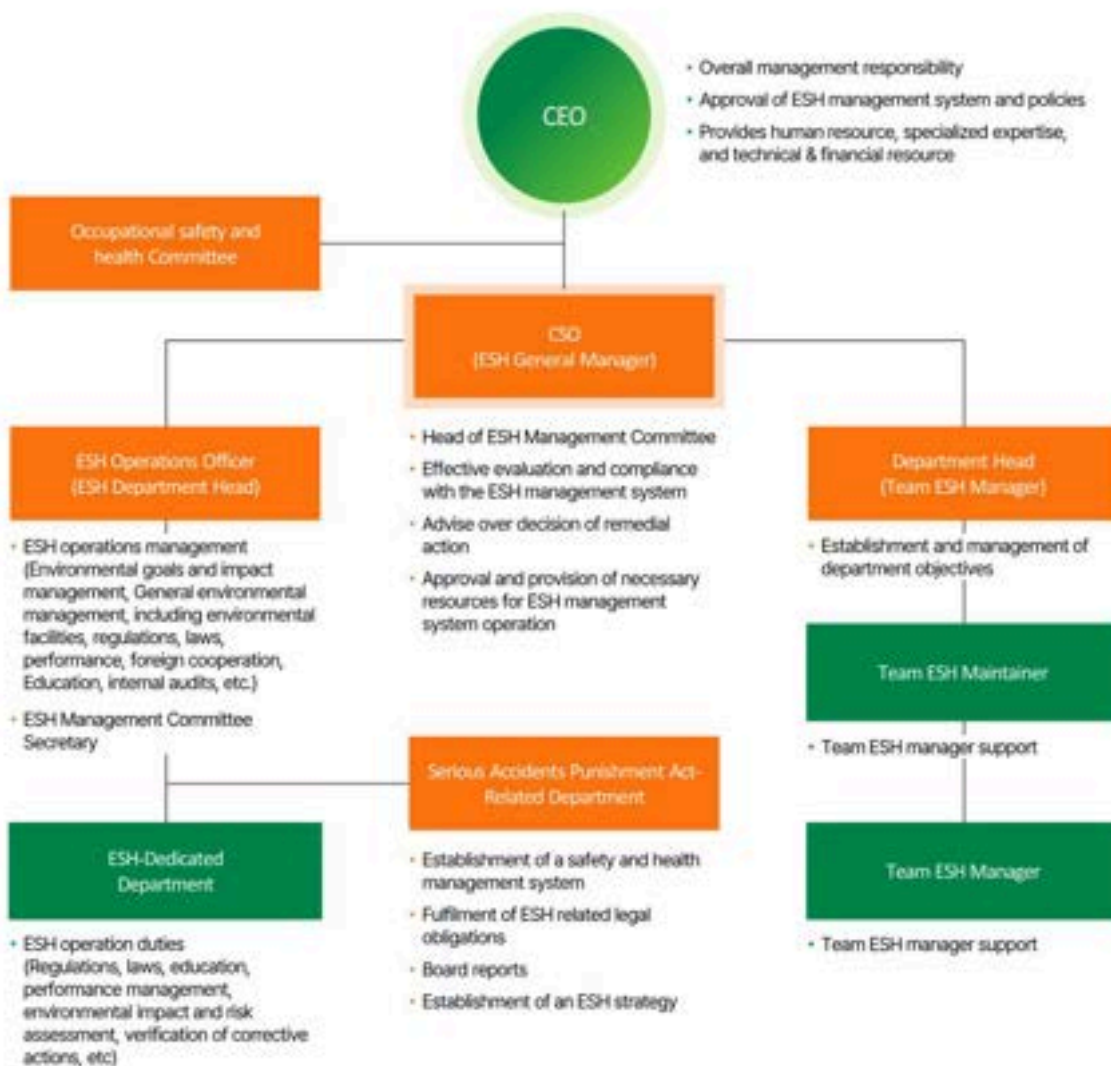
ESH System

Based on the vision of "Great people, Great Technology," DB HiTek is pursuing a zero-accident and eco-friendly management policy in order to go from merely a "good" company to an excellent one, and hopes to grow with stakeholders through our endeavors together.

To this end, we have established and are operating Environment, Safety and Health (hereinafter ESH) standards above the level required by laws and regulations. In addition to **strictly complying with local regulations**, we are also **expanding on eco-management by advancing environmental management technology, reducing greenhouse gases, reducing waste, and increasing recycling.**

ESH Governance

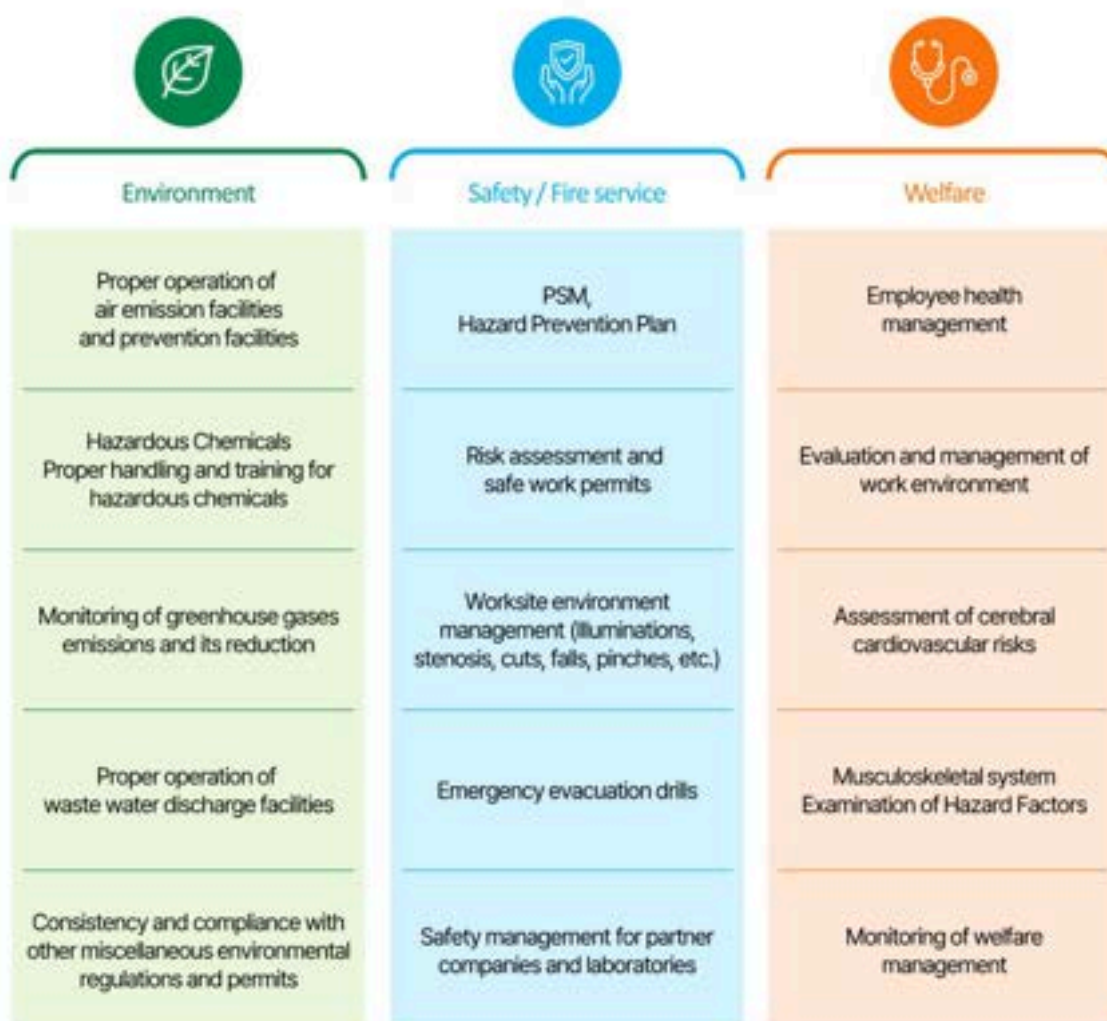
DB HiTek has established and managed the ESH (Environment, Safety, Health) Management Manual, and operates the ESH management organization: the CEO takes overall responsibility for ESH management and oversees environmental, safety, and health-related tasks. Additionally, personnel responsible for ESH are appointed within dedicated ESH teams and departments to implement comprehensive ESH management activities throughout the company.



ESH System

ESH Governance Roles and Responsibilities

Classification	Roles and Responsibilities
Board of Directors	• Final deliberation and voting on environmental and climate change issues
Sustainability management committee	• Deliberation and voting on all matters necessary for policies and activities related to the environment, climate change, and carbon neutrality
CEO	• Responsible for overall management; approves the ESH management system and policies
CSO	• Operates the ESH management system and provides approval and required resources
ESG TFT	• Discovers and manages company-wide environmental and climate change response issues and detailed initiatives
Person Responsible for ESH per Team	• Discovers and operates detailed safety and environment-related initiatives by department



ESH Operations and Performance

► ESH Business Management System

DB HiTek has established and complies with the 'Environmental Safety Policy' for the consistent and unified management of ESH, while also managing such policy via the operating element and performance index of our ESH operation by deducing major factors covering the contents of ISO14001, ISO 45001, and PSM evaluation standards. In 2023, we established an ISO 22301 (BCMS) business continuity management system to build corporate resilience.

ESH Business Management System Operation Components



Key Performance Indicators in the ESH Sector

ESH Management System Certification Rate ¹⁾		(%)	Greenhouse Gas Intensity ²⁾		(tCO ₂ -eq/wafer production)
2023	100		2023	22	
2024	100		2024	21	
Water Intake ³⁾		(thousand m ³)	Waste Recycling Rate ³⁾		(%)
2023	5,431		2023	99	
2024	5,584		2024	99	

1) Subject to: ISO14001, ISO 45001, ISO22301 (Busheon:100%, Seungwoo:100%)

2) Total emissions ÷ wafer production (EA)

3) Total recycled amount ÷ generated amount

ESH Operations and Performance

Strengthening RBA Initiative Activities and Expand ESH Improvement Activities

2023 Inspecting the pledge and implementation of partner companies' RBA Code of Conduct (Code of Conduct), certifying eco-friendly products, participating in power demand management (DM) projects, etc.

2024 Establishing "RBA (Strengthening Initiative Activities)" with the Department Head (Production Division / Management Support Office) and C-Level (CFO) KPI, expanding eco-friendly purchasing, etc.

► Hazardous Chemicals Education

Offline group training on the characteristics of chemical accidents and first aid measures in the event of an accident to raise safety awareness through safety education for all workers working in workplaces that handle hazardous chemical substances

Classification	Subject	Bucheon (completed/required)		Sangwoo (completed/required)	
		2022	2023	2022	2023
Hazardous Chemicals Education	Training of manager (16 hours/biennial)	1 person/ 1 person	1 person/ 1 person	3 persons/ 3 persons	3 persons/ 3 persons
	Training of handler (16 hours/biennial)	113 persons/ 113 persons	102 persons/ 102 persons	110 persons/ 110 persons	
	(2 hours/yearly)	1,697 persons/ 1,697 persons	1,527 persons/ 1,527 persons	1,017 persons/ 1,017 persons	1,096 persons/ 1,096 persons

► Chemical Substance Education

Offline group education on chemical substance management and response when exposed to chemical substances in order to raise safety awareness through chemical safety education

Classification	Subject	Bucheon (completed/required)		Sangwoo (completed/required)	
		2022	2023	2022	2023
Chemical Substance Education	New Employee (including MS)	235 persons	185 persons	165 persons	72 persons

Climate Change Risk management

► Climate Change Risk Management

DB HiTek identifies physical/conversion risks based on TCFD guidelines. Among the climate change scenarios presented in the IPCC's Sixth Assessment Report, physical risks were analyzed by selecting two scenarios: SSP5-8.5, which assumes heavy use of fossil fuels and the indiscriminate expansion of development, and 2 SSP2-4.5 scenarios, which assume an intermediate step between climate change mitigation and socioeconomic development. Transition risk was analyzed based on scenarios such as IEA STEPS (Probable Policy Scenario) and IEA NZE 2050 (Net Zero Emissions by 2050).

Risk Types	Identified Risk Details	Potential Financial Impact	Response Strategy	Financial Impact		
				Short-term	Mid-term	Long-term
Physical risks	Sudden Large-scale natural disasters Facility damage due to increased disasters, suspension of production	- Torrential rain, abnormally high temperatures, etc. - Personal/material losses due to subsequent building damage and equipment failure - Financial losses due to late delivery	Conducting emergency response drills for each disaster or disaster situation	HIGH	HIGH	HIGH
	Continued Increased electricity costs for workplace cooling and heating systems due to global warming and climate change	Increased cooling costs due to rising average temperatures	Energy management monitoring and promotion of energy saving activities	MID	MID	HIGH
Transition risks	Policies/laws Increased carbon prices due to tightening regulations such as carbon taxes and carbon credits to achieve net zero	Increased investment costs to reduce greenhouse-gas emissions in workplaces	Promoting process and facility efficiency issues	LOW	MID	HIGH
	Policies/laws Risks of legal sanctions for non-compliance with environmental laws	Financial losses such as penalties and fines from the government and local governments due to pollutant emissions	Continuous management of environment-related monitoring systems, such as the development of chemical substance management systems	LOW	LOW	LOW
	Tech Cost of switching to low-carbon technology	R&D costs and equipment purchase costs for alternative new technologies	Proactively expanding eco-friendly investments	HIGH	HIGH	HIGH
	Market Rising cost of raw materials	Unexpected drastic changes in energy costs	Developing proactive risk management and response strategies through monitoring of domestic and international energy-related trends and regulations	LOW	MID	HIGH
	Reputation Increased negative feedback or stakeholders' concerns on climate change response	Increased credit risk (procurement costs) due to a decline in corporate reputation	Strengthening communication with stakeholders through disclosure of information on the status of climate change response	MID	MID	HIGH

► Managing Climate Change Opportunities

We have analyzed opportunities and financial value that can be secured through climate change response measures, and we intend to establish and implement a growth strategy to create value in response.

Types of Opportunity	Identification Opportunity Details ¹⁾	Potential Financial Impact	Results	Financial Impact		
				Short-term	Mid-term	Long-term
Resource efficiency	Reducing carbon emissions through improved energy efficiency	Reduced operating costs through improved energy efficiency	Reduced product production costs	MID	MID	HIGH
Energy resources	Reducing carbon consumption by switching energy used in workplaces to clean energy	Reduced sensitivity to changes in carbon costs	Minimizing the risk of future fossil fuel price increases	LOW	MID	HIGH
Products/services	Developing low-carbon emission products	Securing product competitiveness	Customers can reduce carbon consumption by measuring the carbon footprint of products through LCA and securing low-carbon certification	LOW	LOW	LOW
Recovery	Participating in renewable energy programs	Stabilizing energy supply and demand through renewable energy supply agreements	Reducing energy cost variability	LOW	MID	HIGH

¹⁾ Opportunity categories are not mutually exclusive and have some overlap

Greenhouse gas reduction



► Greenhouse Gas Reduction Target

DB HiTek is actively promoting greenhouse gas reduction activities every year to participate in sustainable growth amid climate change.

► Works Regarding Greenhouse Gas Reduction

Due to the nature of the semiconductor industry, greenhouse gases, such as perfluoro-carbons (PFCs) and sulfur hexafluoride (SF6), are emitted during the product manufacturing process. DB HiTek evaluates and implements the conversion to gases with a low global warming potential (GWP1), and continuously researches and invests in replacing/introducing greenhouse gas emission reduction devices (POU Scrubber2) with more high-efficiency facilities. In addition, through the Greenhouse Gas Reduction TF and Green FAB TF, we are continuously discovering ideas for reducing greenhouse gas emissions and energy consumption in all processes. In particular, DB HiTek has been operating plasma scrubbers and actively participating in greenhouse gas reduction activities since 2019.

1) GWP (Global Warming Potential): The extent to which each greenhouse gas contributes to global warming is a value expressed based on CO2; the lower the value, the lower the warming effect.

2) POU (point of use) Scrubber: Primary treatment device for the treatment of waste gas emitted from semiconductor processes

Activities for Reducing Greenhouse Gas Reduction in 2024 – Operation of Plasma Scrubber

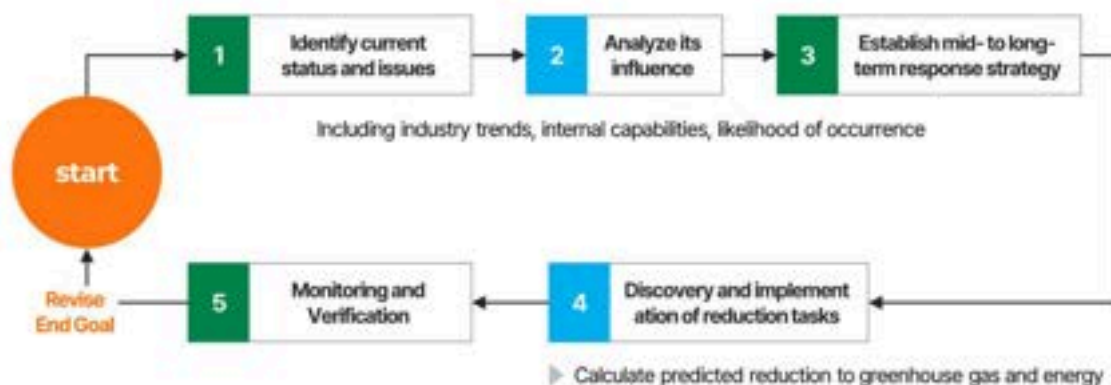
- **Equipment Name** Plasma scrubber
- **Manufacturer** Jin System
- **Model** Plasma-04
- **Operation Target** 20
- **Operation Results** 37,481 tCO₂³⁾



3) Predicted reduction in 2024

Greenhouse gas reduction

DB HiTek makes every effort to minimize greenhouse gas emission for minimizing its effects on our planet. Global climate change trends and policies, as well as their impact on the company, **are continuously monitored** and **reflected in our mid- to long-term response strategies**. Our ESH department encourages the **discovery of greenhouse gas reduction tasks optimized for the semiconductor manufacturing process**.



► Greenhouse Gases Emissions

DB HiTek's greenhouse gas emissions are divided into direct emissions, which are emissions of process gases used in semiconductor cleaning, and indirect emissions from electricity use. Production volume is continuously reduced due to continuous reduction in process gas usage and emissions according to greenhouse gas reduction goals. Despite the increase in production, the proportion of direct emissions is declining.

[Unit: 100₂ eq, 100₂ eq/water production volume]

Classification	2022	2023	2024	2025
Quantity of Greenhouse Gases Directly Emitted (Scope 1 ¹⁾)	106,657	88,625	89,869	-
Quantity of Greenhouse Gases Indirectly Emitted (Scope 2 ²⁾)	179,465	182,823	188,433	-
Total Quantity of Greenhouse Gases Emitted ³⁾	286,122	271,448	278,302	-
Target Greenhouse Gas Emissions ⁴⁾	287,157	287,198	284,467	284,467
Greenhouse Gas Intensity	19	22	21	-

1) Fuel usage (LHG), semiconductor process gas emissions, etc. (including CO₂, CH₄, N₂O, PFC, SF₆)

2) Electricity usage

3) Emissions that have been verified by a third party from a government accredited agency (BSI Korea); verification is underway for 2024

4) Ministry of Environment quota

Greenhouse gas reduction

▶ Participation in Client Company's RE100 Project

DB HiTek plans to actively participate in RE100 projects carried out by customers and establish and implement mid- to long-term roadmaps for carbon neutrality, such as greenhouse gas reduction. In order to actively support companies that have declared RE100 initiatives in the supply chain, we plan to establish and implement yearly conversion plans and investment plans with the goal of converting 100% of the power sources used in the production of customer products that have declared RE100 to renewable energy by 2028.

Electricity required for renewable energy conversion							
Fab	Process	Classification	2024	2025	2026	2027	2028
Fab1	0.15um HV CMOS	Production (Thousand pcs)	22	30	36	42	48
		Power consumption (kWh)	5,998,056	6,653,322	8,303,345	10,074,726	11,974,531

Renewable Energy Transition Plan					
Classification	2024	2025	2026	2027	2028
Renewable energy transition target power (kWh)	5,998,056	6,653,322	8,303,345	10,074,726	11,974,531
Conversion Percentage Objective	- 50%				100%
Fulfilled RE100(kWh)	- 5,037,363				11,974,531
Renewable Energy Transition Proposal	Green premium, REC purchases, etc.				

* Some of the above renewable energy transition plans may be changed due to requests from stakeholders (such as customer demands and company management circumstances).

▶ DB HiTek Participation in the Korean Power Exchange's DR Project

In addition to participating in the RE100 project by the client company, DB HiTek is actively involved in the Demand Response (DR) program operated by the Korean Power Exchange to transition towards an environmentally friendly industrial structure through greenhouse gas reduction activities. The aim is to achieve approximately 600kWh of power reduction by implementing measures such as shutting down cooling and air conditioning systems during electricity supply crisis situations.

■ Demand Response (DR) : In situations of electricity supply crisis in the power grid, Demand Response (DR) programs allows power users to register their capacity to reduce power consumption with the power exchange. After undergoing verification tests to confirm this capacity, power users can implement the reduction during electricity supply crisis situations, enabling effective power reduction measures to be taken by participating consumers when necessary.

Energy Management

▶ Energy Usage Management

DB HiTek operates an company-wide energy/cost reduction TFT, which provides energy saving goals and continuously discovers savings items by checking changes in consumption, savings, etc. Through this, we assign energy reduction targets and invest with consideration to economic efficiency and estimated savings. In particular, we are increasing the eco-friendliness of our worksites by introducing eco-friendly, high-efficiency facilities (inverters, transformers, and boilers) for energy efficiency.

Classification	2022	2023	2024		2025 Goal
			Goal	Performance	
Power (MWh)	390,644	397,952	416,589	410,164	436,957
LNG (KNm3)	2,676	3,036	3,184	2,886	3,730
Total energy usage (TOE)*Intensity	91,992 *5.51	94,174 *8.16	98,643	97,348 *8.60	104,391

* Total energy consumption from 2022 to 2024, verified by a third party (B3K Korea)
Energy Intensity: Total Usage (TOE) / Sales (100 million KRW)

▶ Energy Conservation

DB HiTek is conducting a continuous energy saving campaign for members, including using the stairs, putting computers in standby when not used, and turning off electricity and office lights during lunch breaks. In addition, we achieve energy reduction goals through regular repair and replacement of old facilities and equipment, replacing the lighting of the workplace with LEDs, and replacing outdated facilities with high-efficiency devices (inverters, transformers). We also continuously discover and improve the energy optimization for the utility/production process.

Bucheon/Sangwoo Business Site Energy Reduction (for 2024)

Change to LED lighting	UT Usage Optimization	Production Process Optimization	
9,733 kWh Reduction in power consumption	4,300 MWh Reduction in power consumption	5,963 MWh Reduction in power consumption	
Application of High-Efficiency Equipment	Power Demand Management	Fuel Usage Optimization	
518,901 KWh Reduction in power consumption	180,130kW Reduction in power consumption	165,134 m³ Reduction in power consumption	
			
High efficiency inverter	High efficiency transformer	Change to LED lighting	Participation in Electric Demand Management (DR) Project

Water Management

▶ Management Strategy and Works Regarding Reduction

DB HiTek considers water usage and wastewater treatment to be critical risks, reflecting the characteristics of the semiconductor manufacturing industry, which uses a large amount of water, and focuses our capabilities on activities that sort, reuse, and recycle less water resources.



Analyzing and monitoring volume and usage throughout the full water quality management process



Risk reduction activities and response management per emergency scenario



Strict control of the final effluent water quality and improving management of the ecosystem to better coexist with the surrounding environment

Classification	2022	2023	2024		2025 Goal
			Goal	Performance	
Water consumption (m ³)	5,430,912	5,584,041	5,991,372	5,876,968	6,294,818
Reused water (m ³)	515,940	522,246	527,894	537,535	567,153

Water intake by site (usage)	2022	2023	2024	2025 Goal
Fab1 (m ³)	2,903,649	3,197,493	3,242,208	3,688,260
Fab2 (m ³)	2,527,263	2,386,548	2,634,760	2,606,558

* Source : Industrial water (100%)

In particular, water usage continues to increase in line with increasing product demand and changes in wastewater properties. In response, we have formed and implement a usage and wastewater reduction TF for our production processes, air protection facilities, and process facilities, and derive/implement reduction measures such as changing process control values, changing wastewater treatment methods, and optimizing operations.

We are also maximizing the water recycling rate through working with structural improvements such as optimizing worksites and building recycling systems.



Gray Water System (Recycling Facility)

Reduced water usage in 2023

347,810 m³

Reduced water usage in 2024

257,785 m³

Effect of Use

Reduction

257,785 m³/year

Recycling

244,489 m³/year

Reduction savings

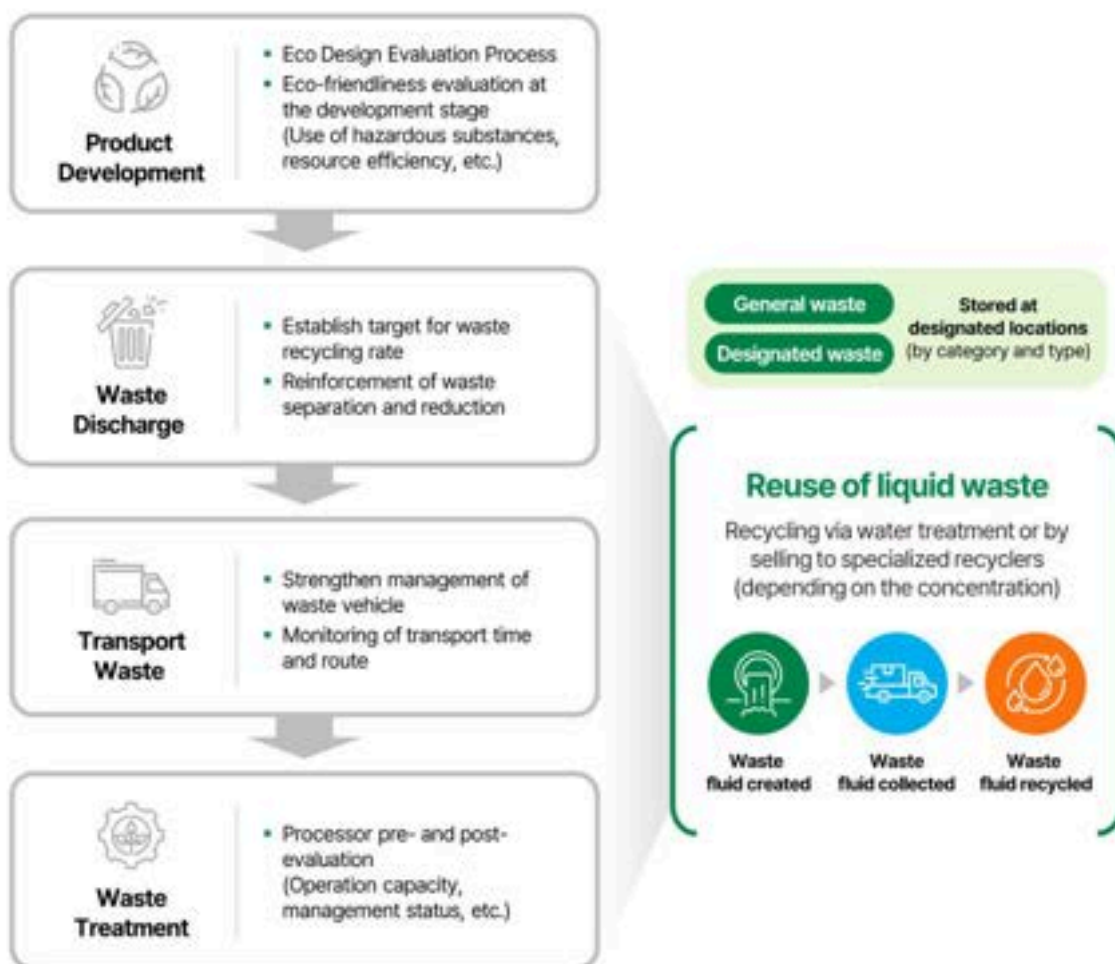
Approximately
KRW 350 million/year

Management of Waste and Pollutant-Chemical Substances

► Waste Management

In order to minimize waste generation during the manufacturing process, DB HiTek has established and operates management measures for each process, such as designing products that take resource efficiency into consideration and implements manufacturing processes. As a result of checking the amount of waste generated and recycling rate at each business site every month, as well as finding ways to increase the recycling rate through analysis of waste disposal methods at workplaces that fall short of the target, **we achieved a 99% waste recycling rate in 2024.**

When selecting trading companies for safer waste disposal, we conduct on-site pre-evaluation. Even after the contract is signed, we confirm that waste has been stored and treated in accordance with environmental laws and regulations through on-site post-evaluation. In addition, we also inspect that **fire and safety measures are also being carried out** in order to check whether chemicals wastes such as waste acids and waste organic solvents are safely managed. **By using the "Albaro System", a legally approved waste disposal system, wastes generated and discharged from the company are managed safely until the very end of the process.**



Management of Waste and Pollutant·Chemical Substances

► Waste Management Performance

Waste Discharge and Recycling Rate (tons)

Classification	2022			2023			2024		
	General	Specified	Total	General	Specified	Total	General	Specified	Total
Waste Treatment	7,717	1,598	9,316	8,852	1,317	10,169	9,354	1,343	10,697
Goal	6,806	1,628	8,435	7,260	1,515	8,775	7,876	1,534	9,410
Waste Recycling	7,717	1,529	9,246	8,852	1,252	10,104	9,354	1,301	10,655
%	100	95.7	99.2	100	95.1	99.4	99.9	99.3	99.6
Waste Incineration	0	69	69	0	60	60	0	42	42
Landfill	0	0	0	0	5	5	0	0	0

* Waste treatment targets for 2024: Total 9,410 tons, General 7,876 tons, Designated 1,534 tons

► Management Performance of Waste and Pollutant/Chemical Substances

In order to minimize the impact of emissions of air pollutants and water pollutants on the local community, DB HiTek, since 2022, has established and operates in-house management standards and management systems (air quality management regulations, water quality management regulations) beyond legal allowances specified in the Clean Air Conservation Act and the Water Environment Conservation Act.

As a result, in 2022, we were able to strictly control emissions of sulfur oxide (SOx), dust, cadmium (Cd), lead (Pb), etc. by establishing an in-house management standard of "emissions of less than 20% compared to legal allowable standards by 2050."

Air pollutant emissions (tons)				Water pollutant emissions (tons)			
Classification	2022	2023	2024	Classification	2022	2023	2024
Nitrogen oxide(NOx)	9.42	15.27	9.06	COD	17.15	25.43	8.54
Sulfur oxides (SOx)	1.82	1.29	1.64	TOC	29.33	42.72	32.31
Dust	4.99	4.1	2.75	BOD	43.32	65.94	35.82
				SS	28.02	21.91	9.71

Use of Hazardous Chemicals (tons)			Chemical pollutant emissions (tons)		
2022	2023	2024	2022	2023	2024
7,489.92	6,897.30	8,192.41	56.87	74.30	77.83

Biodiversity Management

► Respect for Biodiversity

DB HiTek recognizes the importance of protecting natural ecosystems and is actively taking steps to minimize side effects by investigating potential impacts on biodiversity in the area surrounding our business sites. Using biogeographic information provided by the National Institute of Biological Resources (NIBR), we investigate the features, topographic characteristics, and ecological maps of each workplace, and plan to enhance biodiversity within the region. For example, in Wonmi-gu, Bucheon-si, where Fab1 is located, we have carried out protection activities for nationally designated species centered around the nearby botanical garden and Wonnisan Mountain. Fab 2 in Gangok-myeon, Eumseong-gun is adjacent to the Namhan River system downstream of Chungju Dam and where development projects are concentrated, and thus, we are doing our best to fulfill our responsibilities during the development process as provincial citizens in accordance with the Chungcheongbuk-do Ordinance on Natural Environment Conservation.

Distribution status of nationally-designated management species (Fab 1)



Distribution status of nationally-designated management species (Fab 2)



Cyrtomium falcatum
(house holly fern)



Peony



Oryzophilus
(rice water weevil)



Cassida mandli Spaeth
(leaf beetle)



Dogwood



Parafossarulus
manchouricus



Planarian
(flatworms)



White sweetclover

Raw Material Management

Purchasing of Raw and Subsidiary Materials

Since 2021, DB HiTek has been disclosing the status of major raw material procurement amounts and ratios.

In 2024, we purchased KRW 186.9 billion worth of raw materials, a slight increase compared to 2023. The system semiconductor (non-memory) foundry business continues to be sluggish, so we predict there will be no significant change in the amount of raw materials purchased.

(Unit: KRW one million, %)

Classification		2022		2023		2024	
Raw Materials	Wafer	116,425	55%	84,247	46%	76,303	41%
	Chemical	36,384	17%	32,131	18%	35,074	19%
	Gas	12,796	6%	9,508	5%	10,483	6%
	Target	2,812	1%	2,139	1%	2,519	1%
	Reticle	40,170	19%	51,555	28%	58,357	31%
Secondary Material	Others	4,531	2%	3,631	2%	4,187	2%
Total		213,118	100%	183,210	100%	186,922	100%

Performance of Renewable Raw Material Use

DB HiTek uses silicon wafers (Si wafers) as the fundamental material for semiconductor production, as well as for various purposes such as equipment maintenance, management, and performance testing. The dual test wafer is reused as a commercially-recycled test wafer to meet an appropriate level of quality usage standards through a series of recycling processes, such as removing thin films and polishing the surface of the wafer so that it can be recycled after use.

Test wafers are not suitable for producing genuine semiconductor chips, but they are used to protect genuine wafers during the production process or for testing purposes in semiconductor equipment and other raw materials.



Defect wafer occurs during the production process



Removal of thin film



as a test wafer



Surface polishing to use

Classification	2022	2023	2024
Test Wafer Use Amount (pcs)	155,203	172,813	161,982
Renewable Test Wafer Use Amount (pcs)	67,550	66,900	66,848
Recycled Test Wafer Usage Rate (%)	43.5%	38.7%	41.3%

Eco-Friendly Product

Eco-Friendly Product and Hazardous Chemical Management Process

DB HiTek considers the environmental impact of the whole product production process, from supplying raw material to the manufacturing process, along with quality as a priority. With mid- to long-term eco management goals as a basis, our company is improving the energy efficiency and recyclability of our products, and constantly reduces the use of hazardous material through **eco-design process and eco-friendly product supply chain management, in which eco-friendliness of a product is evaluated from its inception, design, and development phase.**

Further, DB HiTek has **obtained the Environmental Performance Label (Low-Carbon Product) Certification** our **Analog & Power Foundry Wafer, organized by the Korea Environmental Industry & Technology Institute, under the Ministry of Environment.** In the case of new and currently mass-produced products, exposure to hazardous substances is monitored in the entire process, from purchase of raw materials to production and shipment of product. The final product is issued a certificate from an accredited institution every year before being sent to the customers.



Classification	2022	2023	2024
Number of violations of laws and regulations relating to the safety and health impact of products and services	0	0	0

Eco-Friendly Product

► Worksite Chemical Substance - ESH Pre-Evaluation System

DB HiTek operates an ESH pre-evaluation system to comply with chemical substance-related laws and to ensure its safe management and handling. ESH pre-evaluation is a system that assesses all changes in the use of chemical substances (new substances/change reviews) and all areas of environment, safety, and health. **We only allow use after thorough review of the substances on matters** of domestic and foreign laws regarding the control and restriction of the substance, whether there are risks to exposing it to the environment, and for any precautions regarding chemical handling.

In addition, we have added procedures to the ESH chemical pre-evaluation system to check whether there are alternative chemicals that are less harmful or less toxic to greenhouse gas and ozone depletion and hazardous substances.

The ESH pre-evaluation is conducted twice per substance, from the time of recognizing the proposed change and at the time of executing such proposal when the actual chemical substance is imported. This is to build a safe workplace by minimizing the risks associated with the change and use of chemical substances. Moving forward, DB HiTek will continue to become a safe and trusted company by strengthening the level of chemical substance management, such as ESH pre-evaluation.

► Monitoring of Chemicals in Products

All DB HiTek worksites are obligated to comply with EU RoHS (Restriction of Hazardous Substances Directive in Electrical and Electronic Products) and EU REACH (European policy on Registration, Evaluation, Authorization and Restriction of Chemicals similar to The Act on Registration and Evaluation, etc. of Chemicals in Korea), thereby regulating the substances used internally and by our partner company.



1) Based on MSDS (Material Safety Information), chemical substance specifications, etc.

2) Registration management within the chemical substance management system

Eco-Friendly Product

DB HiTek obtained **Environmental Performance Label (Low-Carbon Product) Certification for our Analog & Power Foundry Wafer** from the Korea Institute of Environmental Industry and Technology under the Ministry of Environment in February 2023. We will do our best to expand the revenue and share of eco-friendly products in the future.

Eco-friendly Product Sales

(billion KRW)	2023	2024
DB HiTek Total Sales	1,154	1,131
Eco-friendly product sales (Analog & Power Foundry Wafer)	319	678
Percentage (%)	28%	60%

* Eco-friendly Sales Calculation Criteria: Analog & Power Foundry Wafer Environmental Performance Label (Low-Carbon Product) Certification (Sum of Product Sales)
 * Percentage(%): Environmental Performance Label (Low-Carbon Product) Certification sales ÷ total sales

Eco-friendly certification

Environmental Performance Label (low carbon product) Certification



Eco-Friendly Purchasing

DB HiTek is reducing carbon emissions by reducing electricity usage through eco-friendly purchasing activities (investment of approximately KRW 9 billion), such as replacing pumps and chillers used in semiconductor production with low-power products. We will continue to explore additional items for further reduction while also developing and expanding purchase of eco-friendly items for raw materials, including gases, etc.

▶ Carbon Emissions Reduction Performance

Dry Pump					
Classification	Power consumption (kWh/unit)			Yearly reduction (unit)	
	Existing Pump	Low-power pump	Difference	Power (kWh)	Carbon emission (tCO2)
Pump 1	3.4	0.6	2.8	24,528	11.6
Pump 2	2.0	0.6	1.4	12,264	5.8
Classification (2020-2024)		Pump 1	Pump 2	Total	
Number of low-power pumps introduced		184	133	317	
Power consumption saved (kWh/unit)		4,513,152	1,631,112	6,144,264	
Carbon emission reduction (tCO2)		2,134	771	2,905	

* Carbon emission factor = 0.0004747tCO2/kWh

* Number of low-power pumps introduced by year: 60 in 2020, 34 in 2021, 100 in 2022, 62 in 2023, and 61 in 2024

Chiller					
Classification	Power consumption (kWh/unit)			Yearly reduction (unit)	
	Existing (freezer) chiller	Low-power (electric) chiller	Difference	Power (kWh)	Carbon emission (tCO2)
Chiller 1	36	8	28	245,280	116.4
Chiller 2	13.3	8	5.3	46,428	22.0
Classification (2020-2024)		Chiller 1	Chiller 2	Total	
No. of introduced low-power (electric) chiller		23	71	94	
Power consumption saved (kWh/unit)		5,641,440	3,296,388	8,937,828	
Carbon emission reduction (tCO2)		2,677	1,562	4,239	

* Carbon emission factor = 0.0004747tCO2/kWh

* Number of low-power pumps introduced by year: 2 in 2020, 17 in 2022, and 75 in 2023

▶ Carbon Emissions Reduction Performance

Distiction(million KRW)	2020	2021	2022	2023	2024
Eco-friendly (low-power pump/chiller) purchase amount	10	5.3	20.7	41.0	9.1

ESH Law Management

► Management System for Environmental Law

DB HiTek monitors domestic and international environmental regulations, agreements, and customer requirements and shares this information with employees through the intranet to ensure compliance with environmental laws. Moreover, the company has established internal regulations to facilitate continuous monitoring of requirements and updates, and adheres to them accordingly.

Internal regulations for compliance with domestic and international laws, agreements, and customer regulations and requirements.

6.4.4 ESH Domestic and International Laws, Agreements, and Customer Regulations Compliance Requirements

6.4.4.1 Overview

- 1) This section describes the identification, registration, and application of domestic and international laws, agreements, and customer regulations that DB HiTek shall comply with.
- 2) The identified domestic and international laws, agreements, and customer regulations should be used when making significant environmental impact decisions, conducting risk assessments, and setting ESH objectives and targets. The implementation of such requirements should be carried out by the relevant departments related to domestic and international laws, agreements, and customer regulations.
- 3) Relevant regulations: ESH Law Registration Management Regulations

6.4.4.2 Identification, Registration, and Application of Domestic and International Laws, Agreements, and Customer Regulations

- 1) The ESH operating manager shall receive, identify, and register all domestic and international laws, agreements, and customer regulations applicable to the operational activities, products, and services from an ESH perspective, and keep them up to date.
- 2) The registered domestic and international laws, agreements, and customer regulations related to ESH can be confirmed through the ESH department, and all relevant departments should ensure compliance with such requirements through the establishment and revision of relevant internal regulations.

- In the DB HiTek ESG Management Manual -

Details of Management Law

Water Quality
Water Environment Conservation Act

Air
Clean Air Conservation Act

Waste
Waste Control Act

Hazardous Substance
Chemical Substances Control Act

Noise/Vibration
Noise and Vibration Control Act

International Environmental Regulations
REACH*

International Environmental Regulations
RoHS**

* REACH: Registration, Evaluation, Authorization and restriction of Chemicals. The amount of manufacture and import of all materials manufactured and imported at least 1 ton per year in the EU Chemical substance management regulations that require registration, evaluation, approval, and restriction based on risk.

** Restriction of Hazardous Substances, guidelines that restrict electronic products or electrical devices using harmful substances (lead, cadmium, mercury, hexavalent chromium, and bromine flame retardants) implemented in the EU.

► History of Environmental Law Violations

Classification	2022	2023	2024
Violations of environmental laws (cases)	0	0	0
Environmental law fine amount (KRW)	0	0	0
Environmental debt (KRW)	0	0	0

DB HiTek, World Leader in Specialty Foundry

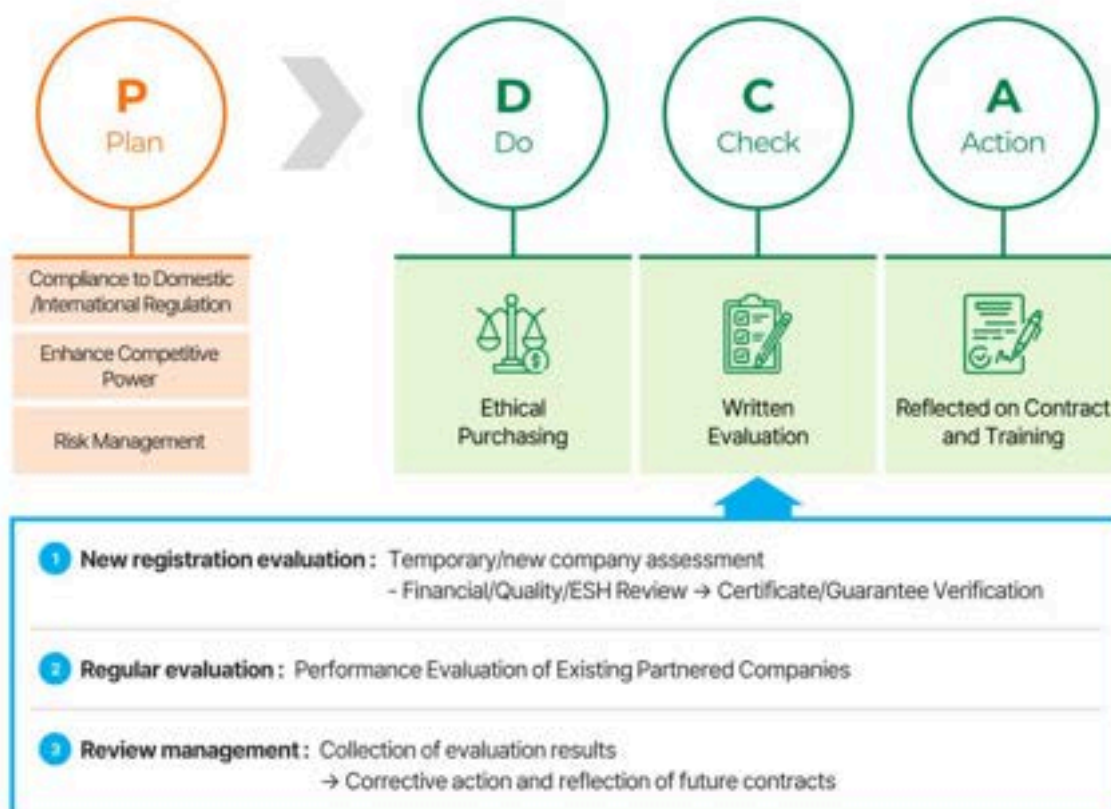
ESG Performance

- Environment
- **Social**
- Governance

ESH Management of Partner Companies

DB HiTek has established and implemented various support measures based on mutual trust to **promote shared growth with its partner companies (suppliers)**. Support measures can be distinguished between categories of technical support and educational support. In the case of technical support, technical advice is provided for per each equipment unit/category (water quality, air) unit, and training programs for ESH compliance and safe workplaces are also operated.

Supplier Sustainability Management Process (P-D-C-A cycle)



DB HiTek conducts ESH evaluation that considers 1) transaction size 2) transaction performance 3) ESH evaluation results and 4) sustainability management levels for sustainable growth with partner companies. ESH evaluation of the supplier is conducted annually together with the quality/purchase department, and new suppliers must meet certain criteria to register as a supplier such as credit rating, due diligence of ESH, use of hazardous substances, etc. Regular ESH evaluation is conducted only for registered partner companies, and the evaluation results are reflected in future contracts and training. ESH evaluation items are divided into ESH management system management, hazardous chemical substance management, raw material management, etc.. Review of education/training management, whether internal audits have been carried out, and whether emergency action plans have been formulated/implemented, as well as on-site assessments, are carried out when necessary, along with written evaluations and screenings. In addition, we conduct regular inspections and evaluations of PSM implementation status, disaster management, ESH audits, implementation of safety education, and safety improvement activities for in-house partner companies every year in accordance with internal audit procedures and partner management procedures (evaluation of 9 companies in 2024: **26 improvement recommendations, 57 corrective improvements**), and incentives are paid differentially based on evaluation results.

The three partner companies in the high-risk safety and health group are subject to the mandatory contract approval system of the Ministry of Employment and Labor and are managed under appropriate approval.

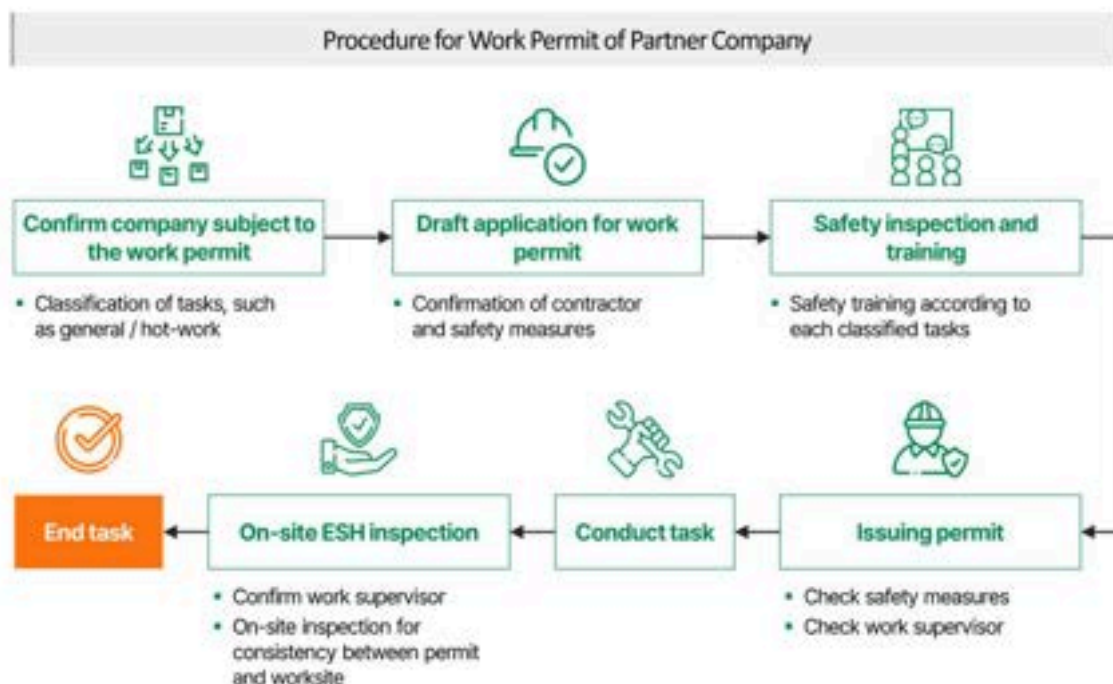
ESH Management of Partner Companies

DB HiTek strives to establish a safety and health management system through symbiotic partnerships with partner companies to improve autonomous management capabilities. Through regular meetings with representatives and working-level managers of each company, safety and health trends, sharing of legal revisions and external accidents cases, raising safety awareness (safety education, quarterly joint safety inspection), on-site management (work procedures, work permits, protective equipment, facilities, etc.), improvement to work environment, health check-up and promotion programs, and ESH support operations for risk assessment accreditation are being conducted. Additional, we support risk assessment and improvement activities to identify **potential hazards and risk factors that workers at partner companies may be exposed to during each work or work process**, in order to eliminate risks that may arise from harmful and risk factors so that employees, can work in a safer and more comfortable work environment.

► 2024 ESH Support Activities for Partner Companies

Classification	Bucheon	Sangwoo
Regular Commission	12 times	12 times
Safety Education	310 persons	291 persons
Work environment improvements	198 cases	134 cases
Health checkup support	271 persons	168 persons
Risk assessment verification (excluding non-targets)	7 companies	6 companies

DB HiTek establishes standards and plans, and operates to ensure that construction (work) is carried out in a safe working environment for partner companies. In particular, when performing high-risk work for facility remodeling and repair work, relevant safety education must be completed in accordance with the work procedure, and protection of workers and facilities from potential harmful and dangerous factors through risk assessment must be prioritized to the utmost.



ESH Management of Partner Companies

DB HiTek shares the status of major safety and health management and matters relating to the enactment and revision of related laws and regulations through monthly meetings with partner companies, and fulfills our obligations regarding safety and security measures during contract projects. Since 2012, as part of strengthening social responsibility for safety and health of our parent company, we have established and implemented a mutually beneficial cooperation program for safety and health by forming a **Mutual Benefit Cooperation Committee to secure the safety and health of in-house partner companies.**

DB HiTek records the performance of participating companies through the Safety and Health Corporation every year, and by 2023, has obtained recognition as an excellent workplace for risk assessment by improving the risk assessment level for all work processes for all in-house resident partner companies (7 companies, excluding non-targets).

DB HiTek will continue to promote industrial accident prevention activities by improving workplace safety and health **through risk assessments and technical support activities and establishing and implementing** company-led safety and health policies and mutually beneficial cooperation program to work together with partner companies.

► Evaluation of Partner Companies's ESH

DB HiTek conducts regular environmental management risk assessments for major partner companies based on the evaluation sheet from the Supplier Management Procedure. The assessments cover three categories: system management, chemical substance management, and raw material management, with a total of 23 items, which are conducted annually.

Classification	2022	2023	2024
No. of Evaluated Companies	36	39	75
Average Score (out of 100)	94.7	99.3	99.4

System Management (8 items)	Establishment of standardized regulations and procedures, and managing organization Establishment of internal audit regulations and audit plans, etc.
Chemical Substance Management (9 items)	Assessment/guarantee of compliance with environmental regulatory standards Management of industrial accidents and incidents, etc.
Raw Material Management (6 items)	Criteria for determining non-conforming products and hazardous substances Prevention of shipment of non-conforming products containing hazardous substances, etc.

* Evaluation company: 90% or higher target for Wafer, Chemical, Gas, Target, and Mask purchases

Partners Risk Assessment Certificate



DB HiTek, World Leader in Specialty Foundry

ESG Performance

- Environment
- Social
- **Governance**

Board Leadership and Performance

DB HiTek operates its Board of Directors under the principles of transparent and responsible management so as to allow rational and fair decisions. The Board of Directors is the highest decision-making body of DB HiTek and determines the company's core management goals and policies.

The Board of Directors decides on matters stipulated by laws or the articles of incorporation, matters delegated through the general meeting of shareholders, and important matters related to the basic company management policy and business execution to aid the management in making correct decisions and supervise the execution of duties by directors. The Board of Directors reviews key ESG issues, establishes mid- to long-term strategies for implementation, and oversees and monitors them. This is delegated to the Sustainability Management Committee within the Board of Directors. In particular, the committee reviews non-financial risks and manages risks that the Board of Directors determines to be important, such as key environmental management issues such as climate change and carbon neutrality, environmental management performance reviews, safety and health-related risk reviews, human rights-related risk reviews, supply chain sustainability-related risks, and shared community growth.

DB HiTek's Board of Directors consists of a total of 9 directors including 3 internal directors and 6 external directors. By maintaining the ratio of external directors at over 50% of the total number of directors, we strive to reinforce the independence of the BOD by establishing a transparent and sound governance structure. In the case of in-house directors, we operate a mid- to long-term performance-based (special performance pay) compensation system, and we support external directors with training necessary to carry out their work and advice from external experts based on the External Director Nomination Committee Operating Regulations.

Board of Directors (as of April 2025)

Classification	Name	Gender	Major career achievements	Specialty
In-house directors	Ki Seog Cho	Male	• (Current) DB HiTek Representative Director & CEO • (Former) DB HiTek Foundry Head of Sales Division	Business manager
	Seung-joo Yang	Male	• (Current) DB HiTek Business Support Dept. Chief, CFO • (Former) President of Samsung Technwin USA	Financial/Project Management
	Sang-gl Lee	Male	• (Current) Head of Technology Development at DB HiTek • (Former) Hyundai Electronics	Semiconductor Technology
External directors	Geon-soo Park	Male	• (Current) Chair Professor at Oyeonggi University of Science and Technology • (Former) Head of Industrial Policy Office, Ministry of Trade, Industry and Energy	Economic/Industrial Policy
	Nam-gi Hong	Male	• (Current) Chair Professor at Korea Aviation University • (Former) Deputy Prime Minister of Economy and Minister of Planning and Finance	Economic/Industrial Policy
	Chul-seong Hwang	Male	• (Current) Chair Professor, Department of Materials Engineering, Seoul National University • (Former) Director of the Seoul National University Semiconductor Research Center	Semiconductor Technology
	Hong Ki Bae	Male	• (Current) PKF Sechyun Accounting Corporation CEO • (Current) Vice Chairman of the Korean Institute of Certified Public Accountants • (Former) KPMG Samjung Accounting Corporation Vice President and Consulting Division Representative	Accounting/Finance
	Young-mok Yoon	Male	• (Current) CEO of Astellas B&C • (Former) Head of Fund Management Division, Kookmin Pension Service	Accounting/Finance
	Ji-young Jeong	Female	• (Current) Associate Professor, Department of Tourism, Hanyang University • (Former) Vice Dean of the College of Ecology and Environment, Kyungpook National University	Environmental Safety, Women's Policy, ESG

*1) Total compensation rate per year for 2024: (Compensation of the highest paid individual in the organization) / (Average employee compensation): 408%

External Director Selection Process



*1) The External Director Candidate Nomination Committee recommends candidates by verifying whether they violate the reasons for disqualification under commercial law and whether they meet independence requirements.

Board Leadership and Performance

DB HiTek is reinforcing the expertise and diversity of each director so as to allow the board of directors to make rational decisions in a direction that enables the company's sustainable management even in a rapidly changing business environment, while also establishing a sound and transparent governance structure through the evaluation of the activities of the board of directors. In addition, the Articles of Association were **changed to separate the CEO and Chairman of the Board of Directors through the 2024 Annual General Shareholders' Meeting**, an external director was appointed as the Chairman of the Board of Directors, and a newly appointed external director was appointed as the Chairman of the Board of Directors through the 2025 Annual General Shareholders' Meeting.

Director Competency Index (BSM: Board Skill Matrix)

Name	Kim Dong-Ok	Seung-yeon Yang	Sung-il Lee	Gwang-soo Park	Heung-il Hong	Ok-sung Hwang	Hong Ki-soo	Young-muk Yoon	Ji-yung Jeong	Ratio of
Leadership	○			○	○		○	○		55.6%
CEO experience	○						○	○		33.3%
Public experience				○	○					22.2%
Management / Accounting	○	○			○		○	○		55.6%
Policy / Administration				○	○		○			33.3%
R&D	○		○	○		○			○	55.6%
Core Industries	○		○	○		○				44.4%
ESG									○	11.1%
Independence				○	○	○	○	○	○	66.7%
Year of election	2023	2019	2024	2025	2025	2022	2023	2023	2024	
Term expiration	2027.03.29	2027.03.29	2026.03.29	2027.03.29	2027.03.29	2026.03.29	2027.03.29	2026.03.29	2027.03.29	
Activities Committee	• Management • ESG	• Management • ESG	• Management • ESG	• Thanks • ESG • Insider trading • Rewards		• Thanks • External director Suggestion of a candidate • ESG • Rewards	• Thanks • External director Suggestion of a candidate • ESG • Insider trading	• Thanks • External director Suggestion of a candidate • ESG • Insider trading	• Thanks • ESG • Insider trading • Rewards	
Age	61	64	61	60	65	61	63	60	45	60 years old
Gender	Male	Male	Male	Male	Male	Male	Male	Male	Female	Female 11.1%

Overview of Board of Directors Activities

DB HiTek holds regular board meetings to approve quarterly financial statements and convene a regular general meeting of shareholders. The company occasionally hold temporary board meetings in case of emergency. In addition, we provide training for external directors so as to perform their duties professionally with the Board and with committees within the BOD.

2024 Board Meeting Results

Date	Attendance of External Directors
2024-02-13	4/4
2024-02-27	4/4
2024-03-28	5/5
2024-05-07	5/5
2024-07-03	4/5
2024-08-14	5/5
2024-10-11	5/5
2024-11-13	4/4
2024-12-20	4/4

Board Leadership and Performance

Committees Within the Board

Name	Job Title	Audit committee	External director candidate nomination committee	Sustainability Management committee	Internal Trade Commission	Compensation Committee	Management committee
Ki Seog Cho	CEO, Chairman			○			●
Seung-joo Yang	CFQ, Vice-President			○			○
Sang-gil Lee	Vice-President			○			○
Geon-soo Park	Chairman of the Board, External Director	○		○	○	●	
Nam-gil Hong	External Director						
Chul-seong Hwang	External Director	○	●	○		○	
Hong Ki Bae	External Director	●	○	○	○		
Ji-young Jeong	External Director	○		●	○	○	
Young-mok Yoon	External Director	○	○	○	●		

● Chairman ○ Member

Conflict of Interest Prevention Procedures

Separation of the Chairman of the Board and CEO

In March 2024, the Board of Directors and the CEO were separated so that they can function independently of the management team, and an external director was appointed Chairman of the Board by Board resolution. Furthermore, since we maintain a number of external directors that exceeds the legal level of the appointment ratio of external directors as stipulated in Section 542-8 (1) of the Commercial Code, we freely exchange opinions on overall management between external directors.

Internal Trade Control through the Board of Directors

In order to prevent internal transactions and self-transactions aimed at private profit by management or controlling shareholders, we stipulate approval of internal transactions and self-transactions as a resolution of the Board of Directors in accordance with Article 398 of the Commercial Code. In accordance with Section 398 of the Commercial Code, we obtain prior approval from the Board of Directors on matters applicable to transactions between directors and companies to prevent management or controlling shareholders from engaging in internal transactions and self-transactions for the purpose of pursuing private interests.

Further, in accordance with Article 11-2 of the Monopoly Regulation and Fair Trade Act, we disclose large-scale internal transactions of KRW 10 billion or more after obtaining approval from the Board of Directors, and comply with controls on internal transactions and self-transactions by obtaining Board approval for transactions of a certain amount or more with the largest shareholders, etc. as stipulated in Section 542 (9) of the Commercial Code.

Details of Information Provided for Candidate Directors

Name, date of birth, nominee, relationship with largest shareholder, candidate for external director, reason for nomination

Occupation, detailed experience, history of transactions with the company in the last 3 years, whether there are any delinquencies, whether they manage an insolvent company, and whether there are any legal reasons for disqualification

(In the case of re-elected directors) Attendance rate for past Board meetings, pros and cons for each agenda item, and compensation status of external director activities

If the Interests of External Directors Has Been Confirmed

In the process of appointing external directors, our HR team checks in advance whether there is a conflict of interest with the relevant company. We are working to enhance the independence and fairness of external directors by first checking whether there are mutual transactions through cross-checking the past experience of external directors and various transaction details, and receiving confirmation that there is no conflict of transaction or interest with the company.

Individual Evaluation of External Directors

We regularly evaluate the overall activities of external directors. Our methodology combines qualitative and quantitative evaluations such as meeting attendance rate, committee activity details, expertise, understanding, and independence.

We collect opinions on the attendance status and activities of the committee from the Board of Directors and departments supporting the committee at the end of each year, and compile the results to prepare an evaluation. However, there are no regulations that specify specific standards, so we are currently considering formulating relevant regulations.

Board Leadership and Performance

Overview of Board of Directors Activities

The activities of the DB HiTek Board of Directors include reviewing risk management activities, performance for 2024, the operation status of internal accounting management systems, safety and health, and ESG management status regarding performance for 2024 and plans for 2025. Additionally, DB HiTek conducts a review of non-financial risks including environmental, social, and facility-related risks related to weather abnormalities, natural disasters, regional epidemics, and terrorism, in order to prevent their impact in advance. To minimize damages and shorten the recovery cycle in case of such incidents, the company has established a global-standard Business Continuity Management (BCM) system, the goal of which is to ensure that products and services promised to customers can be supplied within the agreed time even in the event of such accidents.

► Safety and Health

The DB HiTek Board of Directors reviewed the safety and health policies, the organizational management of safety and health management, the performance for the safety and health budget in 2024, and the plans for 2025, as well as the status of safety and health facilities. The 2024 safety and health activity results confirmed a strengthened response to the Serious Accidents Punishment Act, establishment of a foundation for sustainable environmental growth, operation of defect-free firefighting facilities, establishment of safety systems for field work, and strengthening of safety activities. The 2025 Safety and Health Action Plan examined detailed action plans to strengthen accident prevention activities and establish a safety culture, establish a foundation for sustainable ESG growth, improve surveillance and response of firefighting facilities, improve compliance responsiveness, and upgrade emergency response capabilities.

► ESG

The DB HiTek Board of Directors operates at least once a year on a regular basis when major issues occur in accordance with the Sustainable Management Committee's operating regulations, and has identified the latest trends such as mandatory ESG disclosure, legalization of ESG due diligence by partner companies, and strengthening ESG assessments as the latest ESG trends, and examined future ESG promotion directions. The activities related to key ESG issues in 2022 were assessed as follows.

Period of Activity	Proposal Content	Detailed Explanation
February 2024	Status of ESG management	2023 ESG Management Status Report
March 2024	Certifying eco-friendly product	Analog & Power Foundry Wafer Environmental Performance Label (Low-Carbon Product) Certification
	Recovery support for victims of the Gangneung Forest Fire	Damage recovery funding

In 2025, we plan to strengthen our ESG improvement efforts in line with global evaluation criteria. To achieve this, we will assess the current levels of key indicators within the categories of environment, social, and governance, after which targets and improvement plans for over 160 key indicators will be established and executed.

► Development of Directors' Expertise

The company assists external directors in performing professional duties for the Board of Directors and committees within the Board of Directors. We provide materials in advance so that the contents of the relevant agenda can be fully reviewed before the Board of Directors and committees are held, provide explanations on visits, etc., and provide occasionally information on other major issues within the company.

Date of Training	Training Content	Attending Directors
February 2024 (Company internal training)	Semiconductor industry trends, future prospects, etc.	Ki-seok Jo, Seung-joo Yang, Sang-gi Lee, Jun-dong Kim, Hong-gi Bae, Cheol-sung Hwang, Ji-yeon Jeong, Young-mok Yoon

Shareholder Rights

► Shareholders' Meeting

Our company has been holding shareholders' meetings on dates other than the busiest days to allow as many share holders as possible to attend, in all recent three business years.

Classification	72nd Shareholder Meeting	71st Shareholder Meeting	70th Shareholder Meeting
Resolution to Convocation	2025. 2. 19 (Wednesday)	2024. 2. 27 (Tuesday)	2023. 3. 7 (Tuesday)
Announced Date of Convocation	2025. 2. 19 (Wednesday)	2024. 2. 28 (Wednesday)	2023. 3. 8 (Wednesday)
Shareholders' Meeting Date	2025. 3. 20 (Thu)	2024. 3. 28 (Thu)	2023. 3. 29 (Wednesday)

► Guarantee of Shareholder Rights

To facilitate shareholders' voting rights, the electronic voting system has been implemented starting from the 62nd Regular Shareholders' Meeting.

Additionally, the company encourages proxy voting through various methods such as direct delivery, mail, facsimile transmission (FAX), email, and the company's website. Following the shareholders' meeting, the company is committed to advance its transparency by disclosing the voting results for each agenda on its website.

► Shareholder Right to Proposal

In accordance with Article 363-2 of the Commercial Act, shareholders who hold a certain percentage or more of the company's shares can exercise their right to propose agendas for the shareholders' meeting in writing or electronically up to six weeks before the scheduled date of the previous year's regular shareholders' meeting. The company provides information on "the right to propose agendas for the shareholders' meeting" on its website.

► Status of Share Issues

According to our company's articles of incorporation, the total number of shares that can be issued is 200 million, of which 50 million are preferred shares. As of the reporting date, the total number of shares issued by our company is 44,511,167, consisting of 44,398,588 common shares and 112,579 preferred shares. The currently issued preferred shares do not carry voting rights. Accordingly, in addition to the regular dividends to common shareholders, a cash dividend of 1% based on the par value is paid to the preferred shareholders. However, in cases where dividends are not paid to common shareholders, dividends may not be paid to preferred shareholders either.

Shareholder Rights

► Communication

Our company has established an investor information and cyber PR room on our website to provide information on ESG management, financial information, disclosure information, Company Profile, and more. Additionally, in collaboration with Non Deal Roadshow (NDR), our IR department promptly responds to inquiries from investors, including shareholders, through phone and email.

► Shareholder Returns

DB HiTek's shareholder return policy aims for long-term shareholder returns based on stable business performance and value growth through continuous growth.

From the 2022 business year, we set a dividend payout ratio at the level of 10% of consolidated net income, decided on a mid- to long-term dividend policy for 3 years or more, and implemented this in 2023. In December 2023, we announced a corporate governance improvement policy that aims to maintain a shareholder return rate of 30% over the next 5 years and expand the dividend ratio from 10% to a maximum of 20%, and operate flexibly within the sector. This dividend policy decision takes into account the current and future status of the non-memory semiconductor industry, the company's investments for sustained growth, financial structure, and business environment within the range of distributable profit.

In addition to dividends, we purchased equity shares worth KRW 100 billion in 2023 and KRW 20 billion in 2024 through equity acquisition trust agreements to enhance shareholder value, and as of 2025, we have signed and purchased 45 billion won equity acquisition trust agreements. We plan to continue to buy equity shares up to 15% in the future.

Status of Shareholder Returns in the Last 5 Years

Classification	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
Net income (KRW 100 million)	1,660	3,169	5,588	2,641	2,294
Dividend per Share (KRW)*	350	450	1,300	580	1,230
Total dividends (KRW 100 million)	152	196	565	242	505
Dividend Payout Ratio (%)	9.16%	6.17%	10.11%	9.17%	22.03%
Equity purchase (KRW 100 million)	-	-	-	1,000	200
Total shareholder returns (KRW 100 million)	152	196	565	1,242	705
Shareholder return rate (%)	9.16%	6.17%	10.11%	47.03%	30.75%

*Based on common stock. Preferred shares receive an additional KRW 50 dividend compared to common shares.

Shareholders' Meeting Results

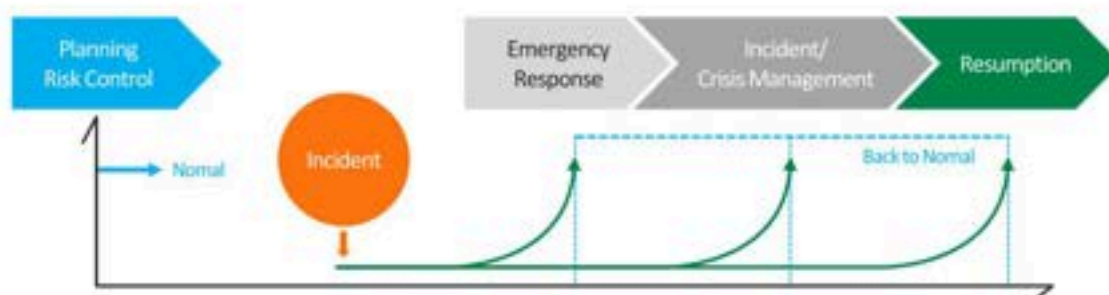
Shareholders' Meeting Agenda		Results	Agreement Rate
1	Approval of the 71st financial statements (including retained earnings disposal statements)	Approved	95.8%
2-1	Partial changes to the Articles of Incorporation (separation of CEO and Chairman of the Board)	Approved	99.5%
2-2	Partial changes to the Articles of Association (adjustment of the number of directors)	Voted	60.7%
2-3	Partial changes to the Articles of Association (advancement of dividend procedures)	Approved	99.5%
2-4	Partial changes to the Articles of Incorporation (addition of the right to burn equity shares) *Shareholder Proposal - Minority Shareholder Solidarity	Voted	16.2%
3	Burning of equity shares *Shareholder Proposal - Minority Shareholder Solidarity	Automatic disposal	
4-1	Appointment of in-house director Sang-gi Lee	Approved	94.7%
4-2	Appointment of Cheol-sung Hwang as an external director	Approved	96.7%
5	Appointment of Audit Committee member Cheol-sung Hwang	Approved	95.3%
6-1	Appointment of external director Young-mok Yoon as a member of the Audit Committee *Shareholder Proposal - Keropy Holdings	Approved	76.2%
6-2	Appointment of external director Seung-yeop Han as a member of the Audit Committee *Shareholder Proposal - Minority Shareholder Solidarity	Voted	31.9%
7	Approving a director's compensation limit	Approved	98.5%

Risk Management

DB HiTek is striving to proactively and preemptively respond to and systematically manage risks, as uncertainty and various risk factors are increasing in the rapidly changing global business environment. DB HiTek seeks to minimize management risks by integrating and managing various risk factors and crises that may affect achieving the business goals of the company. Through an effective risk management system, the committee creates a foundation for sustainable growth, and shall maintain and develop it thereof.

► Business Continuity Management (BCM)

DB HiTek enacts on various measures to proactively prevent the inflow of environmental, social, and facility risks including extreme weathers, natural disasters, regional terrorism, and infectious diseases. Even if an unavoidable accident occurs, we have established and operate a business continuity management system so that products and services to be provided to customers are supplied within the promised time by minimizing damage and shortening the time until operations are normalized. This operating system is reviewed and maintained once a year based on BCM certification.



Prevention /Preparedness	Response Emergency/ Disaster	< 6 hours	< 4 days	Resumption
• Training basic/ monthly Joint with 119 evacuation • Engineering & procedural controls • Emergency scenario • Contingency plan • Incident protocol • Store emergency supplies	• Cases of Emergencies - Fire - Toxic Gas Leak - Chemical Leak - Water Leak - LNG Leak - Voltage Sag - Black-out - Other Natural Disaster - IT Problem - In-line Problem	• Prepare notification • Develop emergency response capability • Evacuation • Execution of emergency response • Identify utility shutoffs	• Decision-making responsibilities • Communicating with public agencies, supplier, customers • Decide alternative manufacturing • Develop damage clear-up, and the other teams	• Prepare a clear action • Critical staff (administration & Operations), equipment, and services • Identify alternate • Activate an employee assistance program

DB HiTek, World Leader in Specialty Foundry

ESG DATA

Company Profile

ESG Performance

ESG DATA

Appendix

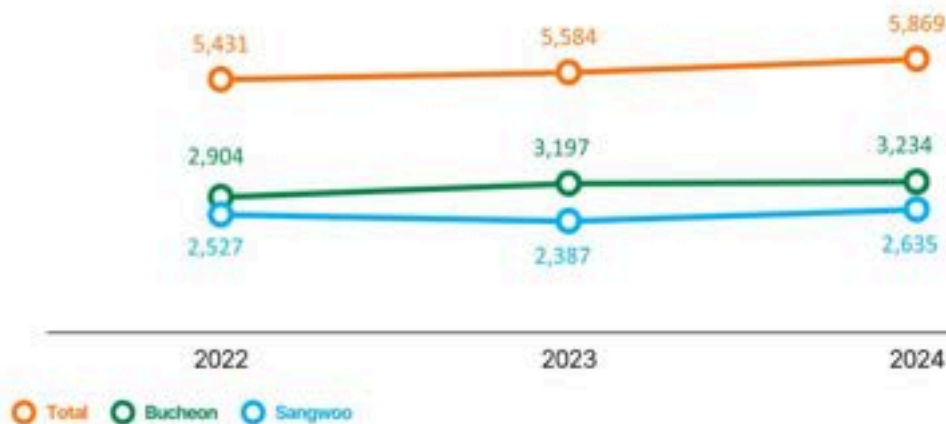
Key Performance Indicator for ESG Management

Water Quality Management

DB HiTek takes high priority in managing water pollutants by conducting environmental reviews for introducing new equipment, changing processes, moving existing equipment, and any other changes in order to reduce water pollutant emissions. In addition, an in-company standard stricter than legal requirements is established and maintained through the TMS (Tele Monitoring System), an automatic monitoring system for effluent quality.

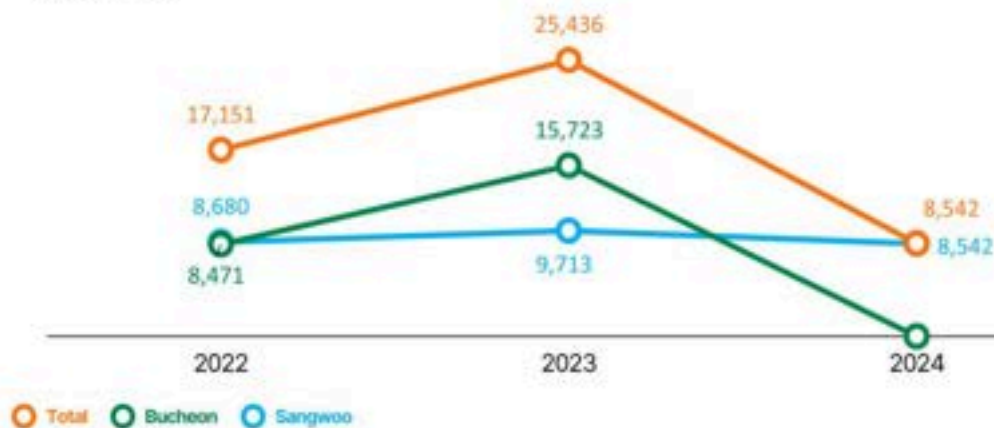
By year Water Intake (Thousand m³)

* Label: Total value



By year Water pollutants Discharged (COD, kg)

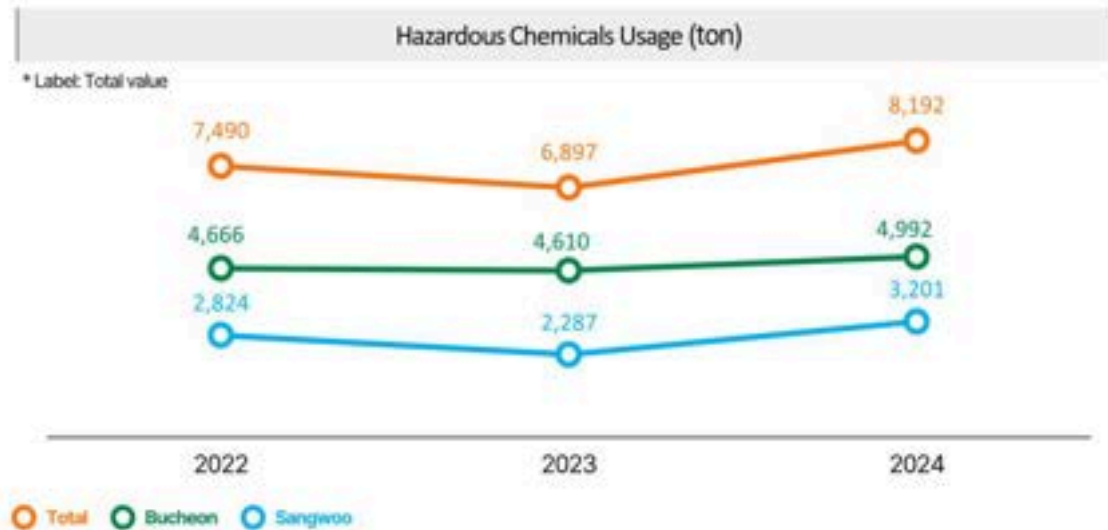
* Label: Total value



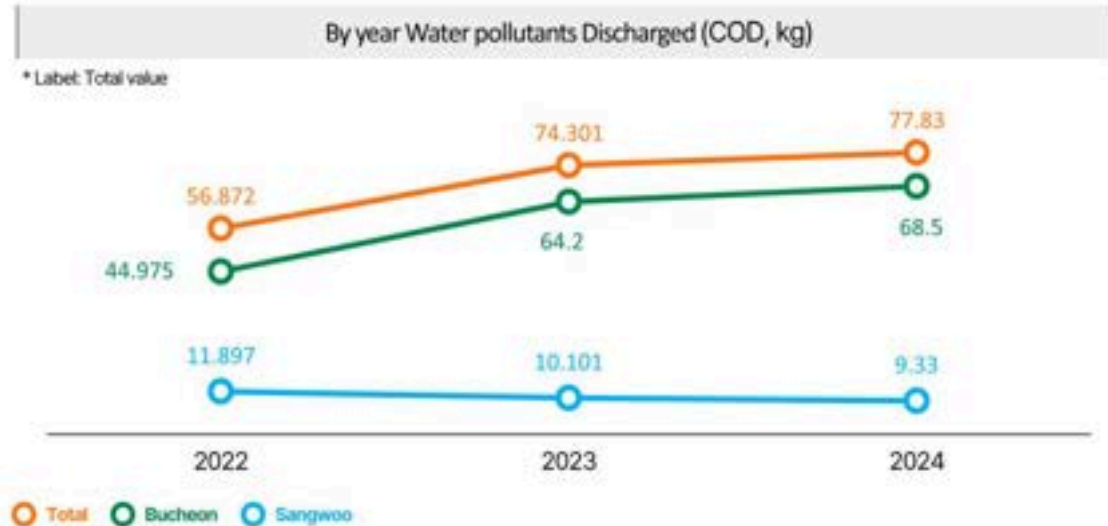
Key Performance Indicator for ESG Management

▶ Management on the Use of Hazardous Chemicals

DB HiTek strives to reduce pollutant emissions by continuously reducing the number of hazardous chemicals used through the improvement of processes and optimization.



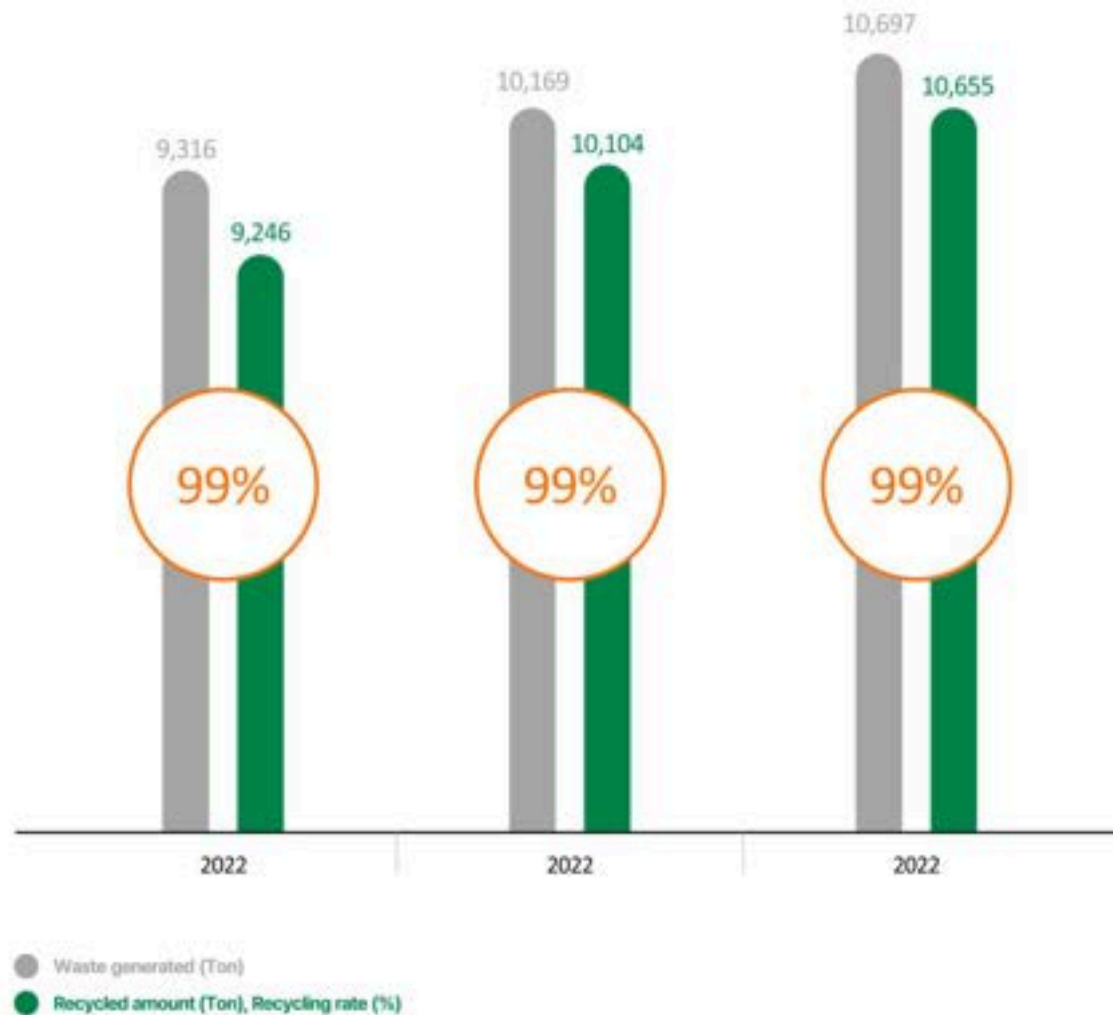
▶ Chemical Substance Usage Management



Key Performance Indicator for ESG Management

► Waste Discharge and Recycling Rate

DB HiTek aims to reuse waste through waste separation and by operating a recycling center for parts, and continuously reduces the amount of waste per unit by identifying and improving on-site problems. Our company is making active efforts in introducing new recycling technologies so that the waste generated by our company can be recycled as new resources rather than as discarded waste. We share our methods of technical support and environmental management techniques through regular evaluation and training with waste treatment companies.



DB HiTek, World Leader in Specialty Foundry

Appendix

Company Profile

ESG Performance

ESG DATA

Appendix

Company Overview

► SASB (Sustainability Accounting Standards Board) Table

Sustainability Disclosure Topics & Accounting Metrics

Industry – Semiconductors		
Classification	Index	Page
Greenhouse Gases Discharged	(1) Scope 1 total emission, (2) PFCs emission	21
	Scope 1 emissions management, including reduction targets, and performance analysis Short- and long-term strategies or plans	21,22
Manufacturing Energy Management	(1) Total energy consumption, (2) Proportion of electricity from the general grid, (3) Proportion of renewable energy	23
Water Management	(1) Total water supply; (2) Total water usage	24
Waste Management	Amount of hazardous waste generated in the manufacturing process and recycling rate.	25,26
Employee Health & Safety	Evaluation and monitoring related to employee safety and health, activities to reduce employee exposure to risk factors	35-38, 56-58
	Fines and settlements for violation of employee safety and health laws	30
Raw Material Supply	Explanation of risk management associated with the use of issue minerals	33
Intellectual property protection and competition	Fines and settlement following violation of law related to unfair competition	42

GRI Standards

► GRI 1 Foundation

Classification	Index	Note
Foundation 2021	Standard Usage Statement	DB HiTek hereby reports our ESG performance and data from January 1, 2024 to December 31, 2024 according to reporting methods in accordance with GRI standards. Some significant achievements include activities up to the first half of 2025.
	GRI 1 used	GRI 1: Foundation 2021
	Applicable GRI Sector Standards	Currently unusable (as of publication date of June 2025, DB HiTek has not published a standard document for the applicable industry.)

► Disclosure of GRI 102 General Information

Classification	Index	Page	Note
General verification	2-1 Organization details	6	
	2-2 List of companies included in the Sustainability Management Report	100	
	2-3 Reporting period, frequency, and contact information	100,101	
	2-4 Rewriting information	Not applicable	
	2-5 External verification	86-87	
	2-6 Activities, organizational value chains, and other business relationships	6,7	
	2-7 Employees	59	
	2-8 Workers who are not employees	59	
	2-9 Structure and make-up of governance	69,70,71,72	
	2-10 Recommendation and selection of the highest governance body	69, 71	
	2-11 Chairman of the highest governance body	70,71	
	2-12 The role of the highest governance body for impact management	69,70,71,72	
	2-13 Delegating responsibility for impact management	15,72	
	2-14 The role of the highest governance body in sustainable management reporting	72	
	2-15 Conflict of interest	69,70,71	
	2-16 Communication on important issues	15, 72	
	2-17 Comprehensive knowledge of the highest governance body	70,72	
	2-18 Evaluation results of the highest governance body	71	
	2-19 Remediation measures	Business report VIII. Matters relating to employees and workers	
	2-20 Remuneration determination procedures	71	
	2-21 Annual total compensation rate	Business report VIII. Matters relating to employees and workers	
	2-22 Statement on sustainable growth strategies	4	
	2-23 Policy commitments	14,40,89-99	
	2-24 Internalization of policy commitments	18,43,44,45,46,60	
	2-25 Adverse impact mitigation procedures	61, 62	
	2-26 Mechanisms for raised concerns and suggestions	48, 61, 62	
	2-27 Law/regulatory compliance	34,42, 54	
	2-28 Affiliated associations (Initiatives)	8	
	2-29 Stakeholder engagement approach	8	
	2-30 Collective bargaining agreement	61	

GRI Standards

Key Issues (Material Topics)

Classification	Index	Page	Note
Key issues	3-1 Procedure for deciding important issues	11	
	3-2 List of major issues	11,12	
	3-3 Managing major issues	12	

Topic Specific Standards

► GRI 300 Environment

Classification	Index	Page	Note
Wastewater and waste	306-2 Managing significant waste-related impacts	25,26	Topic 6 Waste reduction and emissions management
	306-3 Amount of waste generated	26	
	306-4 Waste recycling	26	
	306-5 Disposed waste	26	
Supplier environmental assessment	308-2 Negative environmental impacts of supply chains and measures to address them	44, 47	Topic 3 Supplier sustainability management

► GRI 400 Social

Classification	Index	Page	Note
Employment	401-1 New hires and turnover	59	Topic 5 Attracting and retaining talent
	401-2 Welfare benefits provided only to regular employees	57-58, 63-64	
	401-3 Parental leave	58	
Occupational safety and health	403-1 Occupational Safety and Health Management System	17, 56-57	Topic 4 Safety and health policies & system construction
	403-2 Identification of risk factors, risk assessment, accident investigation	35-38, 45-47	
	403-3 Occupational health services	56-57	
	403-4 Worker participation, consultation, and communication on occupational health and safety	15,36, 56	
	403-5 Worker training related to occupational health and safety	35	
	403-6 Promotion of worker health	57	
	403-7 Preventing and mitigating occupational health and safety impacts directly related to business relationships	57-58, 62-63	
	403-8 Workers covered by the Occupational Safety and Health Management System	17	
Local community	413-1 Workplaces that operate community engagement impact assessment, and development programs	67	Topic 2 Strengthening of community communication activities
	414-2 Negative social impacts within the supply chain and countermeasures	47	
Supplier Social impact assessment	416-2 Violations relating to health and safety impacts of products/services	29	Topic 3 Supply sustainability management
Customer health and Safety			Topic 1 Enhancing product and service quality

UN SDGs Index

► Cooperative Work With UN SDGs

As a global corporate citizen, DB HiTek carries out various activities to achieve UN Sustainable Development Goals (SDGs), considered to be the largest common goal. UN SDGs is implemented by 2030 and it consists of 17 goals and 169 detailed targets.

	Direction	Key Operations
	We strive to minimize the negative effects of hazardous chemicals. We strive to create a safe and healthy workplace where all employees may work without worrying about risks.	- Certified as Excellent Workplace - Safety and Health Education System - Musculoskeletal disease prevention and building a response system - Health Care Program
	We strive to create a good working environment for women and come up with various ways to improve their quality of life.	- Maternity Protection Policy - Certified as family-friendly company
	We concentrate on capabilities in the 3Rs(reduce, reuse, recycle) for water resource reduction, reflecting the characteristics of a semiconductor manufacturing industry that uses water at a large-scale amount.	- Intensive management of water pollutants TMS (Tele Monitoring System)
	We strive to increase economic productivity through continuous technology improvement and innovation.	- Pattern-Wafer support project - Program for technology improvement suggestion for partner companies - Training program for semiconductor expert
	We work to minimize our impact on the environment through responsible and sustainable production by recycling waste.	- 99% waste recycling rate achieved - Albaro System - Operation of parts recycling center
	We actively participate in greenhouse gas emission reduction activities to contribute to solving greenhouse gas and climate change issues, which are global issues.	- Education related to hazardous chemicals - Reduction of energy consumption and reusability - Reduction of water use and recycling - Operation of Plasma scrubber
	We are committed to the shared growth of our partner companies of various fields based on the philosophy of co-prosperity, 'the competitiveness of partners is the competitiveness of DB HiTek'.	- Shared Growth Support Program - Responsible Supply Chain - Mutually Beneficial Cooperation Program

Third Party Assurance

INDEPENDENT ASSURANCE OPINION STATEMENT

To: The Stakeholders of DB HiTeK

Overview

The British Standards Institution (hereinafter referred to as the "Assurer") was requested to verify the DB HiTeK's 2024-2025 ESG Report (hereinafter referred to as the "Report"). The Assurer is independent to DB HiTeK and has no major operational financial interest other than the assurance of the Report. This assurance opinion statement is intended to provide information related to the assurance of the DB HiTeK's report relating to the environment, social and governance (ESG) to the relevant stakeholders and may not be used for any other purpose. This assurance opinion statement is prepared based on the information presented by the DB HiTeK. The verification does not extend beyond such information and is solely based on it. In performing such verification, the Assurer has assumed that all such information is complete and accurate.

DB HiTeK is responsible for managing the relevant information contained within the scope of assurance, operating the relevant internal control procedures, and for all information and claims contained in the Report. Any queries that may arise by virtue of this independent assurance opinion statement or matters relating to it should be addressed to DB HiTeK only.

The Assurer is responsible for providing DB HiTeK's management team with an independent assurance opinion containing professional opinions derived by applying the assurance methodology to the scope specified, and to provide the information to all stakeholders of DB HiTeK. The Assurer will not, in providing this independent assurance opinion statement, accept or assume responsibility (legal or otherwise) or accept liability for or in connection with any other purpose for which it may be used, or to any person or party by whom the independent assurance opinion statement may be read.

Scope

The scope of engagement agreed upon with DB HiTeK includes the following: Report contents during the period from January 1st to December 31st 2024 included in the Report, some data of 2025 are included.

Major assertion included in the Report, such as sustainability management policies and strategies, goals, projects, and performance, and the Report contents related to material issues determined as a result of materiality assessment.

Appropriateness and consistency of processes and systems for data collection, analysis and review.

Confirmation of the Report's compliance with the AA1000 Accountability Four Principles and, where applicable, the reliability of the sustainability performance information contained within the Report, based on the type of sustainability assurance performed in accordance with AA1000 AS v3.

The following contents were not included in the scope of assurance.

Financial information in Appendix.

Index items related to other international standards and initiatives other than the GRI.

Other related additional information such as the website, business annual report.

Assurance Level and Type

The assurance level and type are as follows;

Moderate level based on AA1000 AS and Type 2 (confirmation to the four principles as described in the AA1000 Accountability Principle 2018 and quality and reliability of specific performance information published in the report.)

Description and sources of disclosures covered

Based on the scope and methodology of assurance applied, the Assurer reviewed the following disclosures based on the sampling of information and data provided by DB HiTeK.



Third Party Assurance

[Universal Standards]

2-1 to 2-5 (The Organization and its Reporting Practices), 2-6 to 2-8 (Activities and Workers), 2-9 to 2-21 (Governance), 2-22 to 2-28 (Strategy, Policies, and Practices), 2-29 to 2-30 (Stakeholder Engagement), 3-1 to 3-3 (Material Topics Disclosures)

[Topic Standards]

306-2-5, 308-2, 401-1-3, 403-1-9, 413-1, 414-2, 416-2

Methodology

As a part of its independent assurance, the Assurer has used the methodology developed for relevant evidence collection in order to comply with the verification criteria and to reduce errors in reporting. The Assurer has performed the following activities;

Validation of the materiality assessment and internal analytical process for determining assurance priorities, and a top-level review of issues that may be raised by external stakeholders in the context of sustainability.

Discussion with managers and representatives on stakeholder engagement. Review of the supporting evidence related to the material issues through interviews with senior managers in the responsible departments.

Review of the system for sustainability management strategy process and implementation. Review of the materiality issue analysis process and prioritization and verifying the results. Verification of data generation, collection and reporting for each performance index and document review of relevant systems, policies, and procedures. An assessment of DB HiTeK's reporting and management processes against the principles of Inclusivity, Materiality, Responsiveness and Impact as described in the AA1000 Accountability Principles Standard (2018).

Visit of the Headquarters of DB HiTeK to confirm the data collection processes, record management practices.

Limitations and approach used to mitigate limitations

The Assurer performed limited verification for a limited period based on the data provided by DB HiTeK. It implies that the Assurer is therefore subject to limitations relating to inherent risks that may exist without the identification of material errors. The Assurer does not provide assurance on possible future impacts that cannot be predicted or verified during the verification process and any additional aspects related thereto.

Competency and Independence

British Standards Institution (BSI) is a leading global standards and assessment body founded in 1901. BSI is an independent professional institution that specializes in quality, health, safety, social and environmental management with over 120 years history in providing independent assurance services globally. No member of the assurance team has a business relationship with DB HiTeK. The Assurer has conducted this verification independently, and there has been no conflict of interest. All assurers who participated in the assurance have qualifications as an AA1000AS assessor, have a lot of assurance experience, and have in-depth understanding of the BSI Group's assurance standard methodology

Opinion Statement

The assurance was conducted by a team of sustainability report assurers in accordance with the AA1000 Assurance Standard v3. The Assurer planned and performed the verification and collected sufficient evidence to explain DB HiTeK's approach to the AA1000 Assurance Standard and to provide confidence in its self-declaration of compliance with the GRI Standards.

On the basis of our methodology and the activities described above, it is our opinion that the information and data included in the Report are accurate and reliable and the Assurer cannot point out any substantial aspects of material with mistake or misstatement. We believe that the economic, social and environment performance indicators are accurate and are supported by robust internal control processes.



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Conclusions

Inclusivity : Stakeholder Engagement and Opinion

DB HiTek has identified customers, employees, shareholders/investors, media outlets, government agencies/local communities, and partner companies as its key stakeholders. The company has established and operates various communication channels and frequencies for each stakeholder group. Through its stakeholder engagement process, DB HiTek collects expectations and diverse opinions from each core stakeholder group. It then reflects the material issues identified by stakeholder group in sustainability-related decision-making processes and discloses this process through its reports.

Materiality : Identification and reporting of material sustainability topics

DB HiTek has established strategies related to sustainable management and identifies reporting issues by building an issue pool. This is done through the analysis of global sustainability standards and initiatives (such as GRI Standards, ISO 26000, SASB, and KCGS), benchmarking with peer companies, media analysis, and collecting expert opinions. Through a double materiality assessment process—evaluating both environmental and social impact (Impact Materiality Assessment) and financial implications (Financial Materiality Assessment)—the company analyzes risks and opportunities. As a result, DB HiTek has identified six core material issues, which are disclosed in its report.

Responsiveness : Responding to material sustainability topics and related impacts

Based on the results of the double materiality assessment, DB HiTek has identified both the positive and negative impacts of key material issues. In the "Double Materiality Assessment and Key Issues" section, the company outlines its organizational approaches and management methods for each issue, establishes strategic directions and goals, and discloses the main activities and outcomes related to each key issue in its report.

Impact : Impact of an organization's activities and material sustainability topics on the organization and stakeholders

DB HiTek has established a process to identify and assess the impact of key material issues on the organization and its stakeholders. The company evaluates how each key material issue affects the organization, develops corresponding response strategies, and utilizes this information in ESG-related decision-making. The impact of each material issue is disclosed through the company's report.

Findings and conclusions concerning the reliability and quality of specified performance information

Among the GRI Topic Standards, an assurance Type 2 were conducted against the following disclosures based on the information and data provided by DB HiTek. In order to verify the reliability and accuracy of the data and information, internal control procedures related to data processing, and management were verified through interviews with the responsible department, and accuracy was verified through sampling. Errors and intentional distortions in sustainability performance information included in the Report were not found through assurance processes. The DB HiTek manages the sustainability performance information through reliable internal control procedures and can track the process of deriving the source of the performance. Errors and unclear expressions found during the assurance process were corrected and the Assurer confirmed the final version of the Report prior to its final publication.

[Type 2 Disclosures]

306 3-5, 401-1, 401-3, 403-1-9, 412-2, 416-2]



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Recommendations and Opportunity for improvement

The Assurer provides the following observations to the extent that they do not affect the assurance opinion;

DB HiTek systematically identified the requirements of various stakeholders related to sustainability management and reported the performance of key activities. To enhance the effectiveness of sustainability management, it is necessary to expand the scope of stakeholder participation in the material issue assessment process and strengthen communication channels. Furthermore, systematically integrating collected stakeholder opinions into DB HiTek's sustainability management strategy will contribute to creating sustainable corporate value.

Global ESG initiatives and evaluation standards increasingly emphasize the importance of independence, diversity, and performance evaluation systems in corporate governance. By transparently disclosing governance performance assessment frameworks, companies can enhance the credibility of their decision-making processes. This, in turn, contributes to ensuring consistency with sustainable growth strategies and strengthens the organization's execution capabilities.

DB HiTek reported on the major impacts and implementation outcomes for each material issue identified through the double materiality assessment process in its report. Additionally, if the company establishes quantitative targets/indicators for each key issue and includes not only performance results but also future response plans in its reporting, it can enhance sustainability management performance and strengthen effective strategic management of sustainability.

GRI-reporting

DB HiTek has self-declared compliance with GRI Standards. Based on the data and information provided by DB HiTek, the Assurer confirmed that the Report is prepared in accordance with the GRI Standards, and confirmed there are no errors in the disclosures related to the Universal Standards and Topic Standards Indicators. No sector standard is applied

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For and on behalf of BSI (British Standards Institution):

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About This Report

Overview of the Report

DB HiTek aims to create a society where people, businesses, and the environment coexist harmoniously and co-prosper. This report is being carried out by DB HiTek to create economic, social, and environmental value. It introduces ESG activities in general.

DB HiTek publishes an ESG Management Report (formerly CSR Report) once a year, which can be viewed or downloaded from the company's website (www.dbhitek.com).

Reporting Standard

This report was drafted in accordance with the Core Option of the Global Reporting Initiative (GRI) Standards, the international standard guidelines for ESG sustainability reports, and reflects major agendas of the company, from the UN SDGs, UN Global Compact ten principles, and SASB. In the case of financial performance, statistics were prepared in accordance with the Korean International Financial Reporting Standards (K-IFRS).

Reporting Period

The reporting period for this report is from January 1 to December 31, 2024. Some achievements include information up to May 2025. Key data includes information and performance trends over the three years, from 2022 to 2025.

Scope of Report

Environmental performance is reported for Bucheon campus (Headquarters) and Sangwoo campus, where manufacturing facilities are located. The activities of domestic business sites and overseas workplaces, such as Bucheon campus (Headquarters) and Sangwoo campus, are reported on other results. The 20 subsidiaries and subsidiary companies are not included in the scope of the report because they have different business fields and the company does not have operational control rights.

Report Verification

To ensure the reliability and fairness of the preparation process and data for this report, third part assurance was carried out by an independent external specialized agency and its assurance opinion is published in this report.

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